

Hanoi Southern City Development Joint Stock Company

Consolidated financial statements

31 December 2016

Hanoi Southern City Development Joint Stock Company

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Hanoi Southern City Development Joint Stock Company

GENERAL INFORMATION

THE COMPANY

Hanoi Southern City Development Joint Stock Company ("the Company") is a shareholding company incorporated under the Law on Enterprise of Vietnam pursuant to the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Business Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. The Company subsequently received amended Enterprise Registration Certificates, with the latest being the 17th amended Enterprise Registration Certificate dated 13 May 2013.

The current principal activities of the Company are leasing offices, constructing and selling apartments at Vinhomes Times City project at No. 458 Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam and No. 25, Alley 13, Linh Nam Street, Mai Dong Ward, Hoang Mai District, Hanoi, Vietnam ("Vinhomes Times City project").

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam. The Company's business address is at No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco-urban Area, Viet Hung Ward, Long Bien District, Hanoi, Vietnam.

BOARD OF DIRECTORS

Members of the Board of Directors during the year and at the date of this report are:

Ms Mai Huong Noi	Chairwoman
Mr Pham Thieu Hoa	Member
Ms Nguyen Mai Hoa	Member

BOARD OF SUPERVISION

Members of the Board of Supervision during the year and at the date of this report are:

Ms Le Thi Kim Thanh	Head of Board of Supervision	
Ms Doan Thi Bich Ngoc	Member	
Ms Doan Thi Ha	Member	Appointed on 28 June 2016
Mr Bui Thanh Viet	Member	Resigned on 28 June 2016

MANAGEMENT

Members of the management during the year and at the date of this report are:

Mr Nguyen Viet Quang	General Director
Ms Phi Thi Thuc Nga	Deputy General Director
Mr Pham Thieu Hoa	Deputy General Director
Ms Mai Thu Thuy	Deputy General Director

LEGAL REPRESENTATIVE

The legal representatives of the Company during the year and at the date of this report is Mr Nguyen Viet Quang, General Director.

AUDITORS

The auditor of the Company is Ernst & Young Vietnam Limited.

Hanoi Southern City Development Joint Stock Company

REPORT OF MANAGEMENT

Management of Hanoi Southern City Development Joint Stock Company ("the Company") is pleased to present its report and the consolidated financial statements of the Company and its subsidiaries for the year ended 31 December 2016.

MANAGEMENT'S RESPONSIBILITY IN RESPECT OF THE CONSOLIDATED FINANCIAL STATEMENTS

Management is responsible for the consolidated financial statements of each financial year which give a true and fair view of the consolidated financial position of the Company and its subsidiaries and of the consolidated results of its operations and its consolidated cash flows for the year. In preparing those consolidated financial statements, management is required to:

- ▶ select suitable accounting policies and then apply them consistently ;
- ▶ make judgements and estimates that are reasonable and prudent;
- ▶ state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the consolidated financial statements; and
- ▶ prepare the consolidated financial statement on the going concern basis unless it is inappropriate to presume that the Company and its subsidiaries will continue its business.

Management is responsible for ensuring that proper accounting records are kept which disclose, with reasonable accuracy at any time, the consolidated financial position of the Company and its subsidiaries and to ensure that the accounting records comply with the applied accounting system. It is also responsible for safeguarding the assets of the Company and its subsidiaries and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Management confirmed that it has complied with the above requirements in preparing the accompanying consolidated financial statements.

STATEMENT BY MANAGEMENT

Management does hereby state that, in its opinion, the accompanying consolidated financial statements give a true and fair view of the consolidated financial position of the Company and its subsidiaries as at 31 December 2016 and of the consolidated results of its operations and its consolidated cash flows for the year then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to preparation and presentation of the consolidated financial statements.

For and on behalf of management: 



Nguyen Viet Quang
General Director

Hanoi, Vietnam

31 March 2017

Reference: 60871645/18490348-HN

INDEPENDENT AUDITORS' REPORT

To: **The Shareholders of Hanoi Southern City Development Joint Stock Company**

We have audited the accompanying consolidated financial statements of Hanoi Southern City Development Joint Stock Company ("the Company") and its subsidiaries (collectively referred to as "the Company and its subsidiaries") as prepared on 31 March 2017 and set out on pages 5 to 72, which comprise the consolidated balance sheet as at 31 December 2016, and the consolidated income statement and the consolidated cash flow statement for the year then ended and the notes thereto.

Management's responsibility

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the consolidated financial statements, and for such internal control as management determines is necessary to enable the preparation and presentation of the consolidated financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with Vietnamese Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditors consider internal control relevant to the Company's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

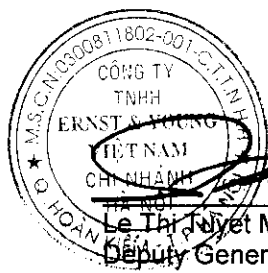


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Opinion

In our opinion, the consolidated financial statements give a true and fair view, in all material respects, of the consolidated financial position of the Company and its subsidiaries as at 31 December 2016, and of the consolidated results of its operations and its consolidated cash flows for the year then ended in accordance with Vietnamese Accounting Standards, Vietnamese Enterprise Accounting System and the statutory requirements relevant to the preparation and presentation of the consolidated financial statements.

Ernst & Young Vietnam Limited



CONSOLIDATED BALANCE SHEET
as at 31 December 2016

Currency: VND

Code	ASSETS	Notes	Ending balance	Beginning balance
100	A. CURRENT ASSETS		16,491,882,437,206	12,376,608,929,832
110	I. Cash and cash equivalents	5	2,802,422,910,160	556,711,486,785
111	1. Cash		941,467,410,160	546,157,486,785
112	2. Cash equivalents		1,860,955,500,000	10,554,000,000
120	II. Short-term investments		-	418,092,189,939
123	1. Held-to-maturity investments		-	418,092,189,939
130	III. Current accounts receivable		4,615,635,775,596	3,906,109,002,838
131	1. Short-term trade receivables	6.1	425,995,510,193	117,214,819,235
132	2. Short-term advances to suppliers	6.2	535,598,217,891	1,031,249,668,156
135	3. Short-term loan receivables	7	3,122,655,962,694	2,207,939,790,100
136	4. Other short-term receivables	8	540,119,773,553	553,833,632,002
137	5. Provision for doubtful short-term receivables	7	(8,733,688,735)	(4,128,906,655)
140	IV. Inventories	10	8,475,032,237,345	6,146,477,243,822
141	1. Inventories		8,483,419,117,083	6,147,666,154,513
149	2. Provision for obsolete inventories		(8,386,879,738)	(1,188,910,691)
150	V. Other current assets		598,791,514,105	1,349,219,006,448
151	1. Short-term prepaid expenses	11	403,032,543,445	439,891,935,736
152	2. Value-added tax deductible	21	98,942,332,623	25,310,731,089
153	3. Tax and other receivables from the State		-	250,790,201
155	4. Other current assets	12	96,816,638,037	883,765,549,422

CONSOLIDATED BALANCE SHEET (continued)
as at 31 December 2016

Currency: VND

Code	ASSETS	Notes	Ending balance	Beginning balance
200	B. NON-CURRENT ASSETS		21,028,863,345,245	12,930,029,637,409
210	I. Long-term receivables		100,386,460,732	18,505,276,331
215	1. Long-term loan receivables	7	3,989,915,115	7,559,839,165
216	2. Other long-term receivables	8	96,396,545,617	10,945,437,166
220	II. Fixed assets		3,261,633,710,933	2,460,136,369,877
221	1. Tangible fixed assets	13	3,223,675,926,138	2,431,931,076,020
222	Cost		3,847,360,526,674	2,958,762,567,884
223	Accumulated depreciation		(623,684,600,536)	(526,831,491,864)
227	2. Intangible assets	14	37,957,784,795	28,205,293,857
228	Cost		50,607,397,891	35,233,476,268
229	Accumulated amortisation		(12,649,613,096)	(7,028,182,411)
230	III. Investment properties	15	1,918,970,179,376	224,400,932,227
231	1. Cost		1,997,136,660,458	244,727,738,581
232	2. Accumulated depreciation		(78,166,481,082)	(20,326,806,354)
240	IV. Long-term assets in progress		4,453,581,454,272	886,365,596,666
242	1. Construction in progress	17	4,453,581,454,272	886,365,596,666
250	V. Long-term investments	18	10,541,691,385,994	8,858,115,216,559
252	1. Investments in associates, jointly controlled entities	18.1	8,846,077,533,594	7,167,618,256,359
253	2. Investment in other entities	18.2	1,645,613,852,400	1,690,496,960,200
255	3. Held-to-maturity investments	18	50,000,000,000	-
260	VI. Other long-term assets		752,600,153,938	482,506,245,749
261	1. Long-term prepaid expenses	11	47,574,090,345	46,753,377,527
262	2. Deferred tax assets	34.3	8,255,174,025	5,528,470,449
269	3. Goodwill	19	696,770,889,568	430,224,397,773
270	TOTAL ASSETS		37,520,745,782,451	25,306,638,567,241

CONSOLIDATED BALANCE SHEET (continued)
as at 31 December 2016

Currency: VND

Code	RESOURCES	Notes	Ending balance	Beginning balance
300	C. LIABILITIES		27,971,803,635,341	18,178,088,642,129
310	I. Current liabilities	20	26,828,479,016,702	17,030,537,199,124
311	1. Short-term trade payables	20.1	1,666,274,701,367	827,713,481,005
312	2. Short-term advances from customers	20.2	10,663,036,084,145	7,960,185,281,623
313	3. Statutory obligations	21	672,182,791,882	92,222,428,174
314	4. Payable to employees		22,622,263,771	3,479,791,181
315	5. Short-term accrued expenses	22	1,203,017,876,116	1,085,884,696,148
318	6. Short-term unearned revenue	23	40,532,077,606	22,646,894,838
319	7. Other short-term payables	24	3,404,186,074,203	3,151,040,822,436
320	8. Short-term loans	25	9,156,627,147,612	3,887,363,803,719
330	II. Non-current liabilities		1,143,324,618,639	1,147,551,443,005
336	1. Long-term unearned revenue	23	1,101,722,564,138	28,382,379,631
337	2. Other long-term liabilities	24	5,279,232,731	4,091,492,912
338	3. Long-term loans	25	-	1,084,796,155,561
341	4. Deferred tax liabilities		-	2,927,921,312
342	5. Long-term provisions	26	36,322,821,770	27,353,493,589

CONSOLIDATED BALANCE SHEET (continued)
as at 31 December 2016

Currency: VND

Code	RESOURCES	Notes	Ending balance	Beginning balance
400	D. OWNERS' EQUITY		9,548,942,147,110	7,128,549,925,112
410	I. Capital	27	9,548,942,147,110	7,128,549,925,112
411	1. Issued share capital	27.1	2,000,000,000,000	2,000,000,000,000
411a	- Shares with voting rights		2,000,000,000,000	2,000,000,000,000
420	2. Other funds belonging to owners' equity	27.1	(2,768,622,679,306)	(41,216,278,212)
421	3. Undistributed earnings		2,970,805,560,320	1,446,491,007,481
421a	- Undistributed earnings up to prior year		1,446,491,007,481	648,468,088,833
421b	- Undistributed earnings of current year		1,524,314,552,839	798,022,918,648
429	4. Non-controlling interests	27	7,346,759,266,096	3,723,275,195,843
440	TOTAL LIABILITIES AND OWNERS' EQUITY		37,520,745,782,451	25,306,638,567,241


Tran Thanh Tam
Preparer


Bui Thi Ha
Chief Accountant


Nguyen Viet Quang
General Director

Hanoi, Vietnam

31 March 2017

CONSOLIDATED INCOME STATEMENT
for the year ended 31 December 2016

Currency: VND

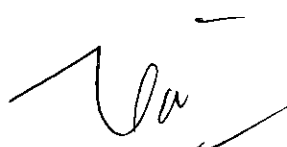
Code	ITEMS	Notes	Current year	Previous year
01	1. Revenue from sale of goods and rendering of services	28.1	11,217,376,095,522	4,920,362,967,860
02	2. Deductions	28.1	-	-
10	3. Net revenue from sale of goods and rendering of services	28.1	11,217,376,095,522	4,920,362,967,860
11	4. Cost of goods sold and services rendered	29	(6,763,559,185,952)	(3,286,014,581,026)
20	5. Gross profit from sale of goods and rendering of services		4,453,816,909,570	1,634,348,386,834
21	6. Finance income	28.2	822,034,511,730	89,464,728,244
22	7. Finance expenses	31	(946,663,181,685)	(264,363,634,014)
23	In which: Interest expenses		(384,720,077,362)	(265,013,754,574)
24	8. Shares of profit of associates, joint-ventures	18.1	504,832,648,035	161,345,587,300
25	9. Selling expenses	30	(1,298,335,291,291)	(416,891,013,798)
26	10. General and administrative expenses	30	(883,874,735,719)	(499,525,076,277)
30	11. Operating profit		2,651,810,860,640	704,378,978,289
31	12. Other income	32	181,549,283,406	274,581,279,701
32	13. Other expenses	32	(38,454,358,354)	(489,295,974)
40	14. Other profit	32	143,094,925,052	274,091,983,727
50	15. Accounting profit before tax		2,794,905,785,692	978,470,962,016
51	16. Current corporate income tax expense	34.2	(585,985,392,868)	(192,111,071,670)
52	17. Deferred tax (expense)/income	34.3	(1,621,267,702)	5,528,470,449
60	18. Net profit after tax		2,207,299,125,122	791,888,360,795

CONSOLIDATED INCOME STATEMENT (continued)
for the year ended 31 December 2016

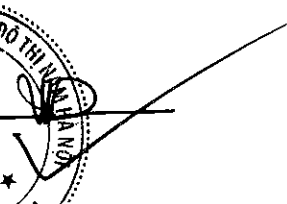
Currency: VND

Code	ITEMS	Notes	Current year	Previous year
61	19. Net profit after tax attributable to shareholders of the parent		1,648,549,290,410	795,075,484,745
62	20. Net profit after tax attributable to non-controlling interests		558,749,834,712	(3,187,123,950)
70	21. Basic earnings per share	36	8,243	3,975
71	22. Diluted earnings per share	36	8,243	3,975


Tran Thanh Tam
Preparer


Bui Thi Ha
Chief Accountant




Nguyen Viet Quang
General Director

Hanoi, Vietnam

31 March 2017

CONSOLIDATED CASH FLOW STATEMENT
for the year ended 31 December 2016

Currency: VND

Code	ITEMS	Notes	Current year	Previous year
	I. CASH FLOWS FROM OPERATING ACTIVITIES			
01	Profit before tax		2,794,905,785,692	978,470,962,016
	<i>Adjustments for:</i>			
02	Depreciation of tangible fixed assets and investment properties and amortisation of intangible fixed assets (including amortisation of goodwill)	13,14, 15,19	355,233,525,481	178,916,834,516
03	Provisions		20,772,079,308	3,634,941,295
04	Foreign exchange losses/(gains) arisen from revaluation of monetary accounts denominated in foreign currency		18,389,448	(400,858,218)
05	Profits from investing activities		(746,694,602,847)	(250,810,315,544)
06	Interest expenses	31	384,720,077,362	265,013,754,574
08	Operating profit before changes in working capital		2,808,955,254,444	1,174,825,318,639
09	Decrease in receivables		1,638,891,342,965	1,093,796,448,747
10	Decrease/(increase) in inventories		955,820,656,746	(764,927,510,981)
11	(Decrease)/increase in payables (other than interest, corporate income tax)		(272,903,519,333)	8,670,898,632,758
12	Decrease/(increase) in prepaid expenses		95,352,984,466	(485,405,661,732)
14	Interest paid		(140,484,923,411)	(601,836,360,332)
15	Corporate income tax paid	21	(344,271,766,727)	(265,156,018,040)
20	Net cash flows from operating activities		4,741,360,029,150	8,822,194,849,059

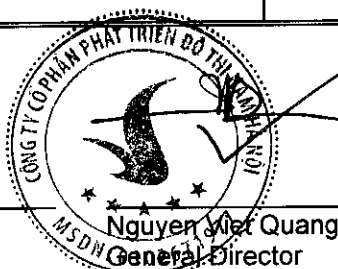
CONSOLIDATED CASH FLOW STATEMENT (continued)
for the year ended 31 December 2016

Currency: VND

Code	ITEMS	Notes	Current year	Previous year
	II. CASH FLOWS FROM INVESTING ACTIVITIES			
21	Purchase and construction of fixed assets and other long-term assets		(2,222,134,748,949)	(738,033,080,781)
22	Proceeds from disposals of fixed assets and other long-term assets		75,084,489,463	-
23	Loans to other entities and payments for purchase of debt instruments of other entities		(489,200,738,202)	(9,206,540,083,992)
24	Collections from borrowers and proceeds from sale of debt instruments of other entities		2,604,904,018,627	2,396,279,238,678
25	Payments for investments in other entities (net of cash hold by entity being acquired)		(15,923,861,346,083)	(1,005,945,213,284)
26	Proceeds from sale of investments in other entities (net of cash hold by entity being disposed)		5,637,411,141,821	3,000,000,000
27	Interest and dividends received		197,068,616,393	50,922,180,818
30	Net cash flows used in investing activities		(10,120,728,566,930)	(8,500,316,958,561)
	III. CASH FLOWS FROM FINANCING ACTIVITIES			
31	Issuance of shares		3,393,212,365,000	3,360,734,490,000
33	Drawdown of borrowings		11,161,421,565,443	9,455,999,433,335
34	Repayment of borrowings		(6,589,869,040,550)	(12,548,137,026,536)
36	Dividends paid		(339,697,297,800)	(339,697,297,800)
40	Net cash flows from/(used in) financing activities		7,625,067,592,093	(71,100,401,001)
50	Net increase in cash and cash equivalent for the year		2,245,699,054,313	250,777,489,497
60	Cash and cash equivalents at the beginning of the year		556,711,486,785	305,945,516,262
61	Impact of exchange rate fluctuation		12,369,062	(11,518,974)
70	Cash and cash equivalents at the end of the year	5	2,802,422,910,160	556,711,486,785

Tran Thanh Tam
Preparer

Bui Thi Ha
Chief Accountant



Hanoi, Vietnam

31 March 2017

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
as at 31 December 2016 and for the year then ended

1. CORPORATE INFORMATION

Hanoi Southern City Development Joint Stock Company ("the Company") is a shareholding company incorporated under the Law on Enterprise of Vietnam pursuant to the Business Registration Certificate No. 0103022741 issued by the Hanoi Department of Planning and Investment on 6 March 2008 and the Business Registration Certificate No. 0102671977 dated 5 August 2010 on registration of a shareholding company. The Company subsequently received amended Enterprise Registration Certificates with the latest, being the 17th amended Enterprise Registration Certificate dated 13 May 2013.

The current principal activities of the Company are leasing offices, constructing and selling apartments in Vinhomes Times City project at No. 458 Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam and No. 25, Alley 13, Linh Nam Street, Mai Dong Ward, Hoang Mai District, Hanoi, Vietnam ("Vinhomes Times City project").

The Company's head office is located at No. 458, Minh Khai Street, Vinh Tuy Ward, Hai Ba Trung District, Hanoi, Vietnam. The Company's business address is at No. 7, Bang Lang 1 street, Vinhomes Riverside Eco-urban Area, Viet Hung Ward, Long Bien District, Hanoi, Vietnam.

The number of the Company's employees as at 31 December 2016 is 10 (31 December 2015: 12).

The Company and its subsidiaries' business cycle of real estate development activity begins when the Company and its subsidiaries receive investment certificate, carries out land clearance and construction works until the project is completed. Accordingly, the business cycle of real estate development activity ranges from 12 months to 36 months.

The Company and its subsidiaries' business cycle of other activities is normally within 12 months.

As at 31 December 2016, the Company owns investments in associates as presented in Note 18.1.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

1. **CORPORATE INFORMATION** (continued)

Corporate structure

As at 31 December 2016, the Company has 6 subsidiaries. The information on these subsidiaries, along with the Company's voting rights and equity interest in each subsidiary are as below:

<i>No.</i>	<i>Entity</i>	<i>Voting right (%)</i>	<i>Equity interest (%)</i>	<i>Registered office's address</i>	<i>Principal activities</i>
1	Vinpearlland JSC	98.19%	98.19%	Hon Tre island, Vinh Nguyen Ward, Nha Trang City, Khanh Hoa Province	Providing entertainment services, domestic tourism services, passenger transport, restaurant and food court services
2	VinDS Trading and Services LLC ("VinDS LLC")	99.00%	99.00%	No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco- urban Area, Viet Hung Ward, Long Bien District, Hanoi	Retail and wholesale in general merchandising stores, specialty stores, management consulting and business support activities
3	Ecology Development and Investment JSC ("Ecology JSC")	80.94%	80.94%	No.191, Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties
4	Gia Lam Urban Development and Investment LLC ("Gia Lam LLC")	85.00%	68.80%	No. 7, Bang Lang 1 Street, Vinhomes Riverside Eco- urban Area, Viet Hung Ward, Long Bien District, Hanoi	Investing, developing and trading real estate properties
5	Phu Gia Property Trading LLC ("Phu Gia LLC")	98.00%	79.32%	No.63 Hang Ga Street, Hang Bo Ward, Hoan Kiem District, Hanoi	Investing, developing and trading real estate properties
6	Vietnam Investment and Consulting Investment JSC ("Lieu Giai JSC")	50.00%	40.47%	No.191, Ba Trieu Street, Le Dai Hanh Ward, Hai Ba Trung District, Hanoi	Investing, developing and trading real estate properties

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

2. BASIS OF PREPARATION

2.1 *Accounting standards and system*

The consolidated financial statements of the Company and its subsidiaries, which are expressed in Vietnam dong ("VND"), are prepared in accordance with Vietnamese Enterprise Accounting System and Vietnamese Accounting Standards issued by the Ministry of Finance as per:

- ▶ Decision No. 149/2001/QĐ-BTC dated 31 December 2001 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 1);
- ▶ Decision No. 165/2002/QĐ-BTC dated 31 December 2002 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 2);
- ▶ Decision No. 234/2003/QĐ-BTC dated 30 December 2003 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 3);
- ▶ Decision No. 12/2005/QĐ-BTC dated 15 February 2005 on the Issuance and Promulgation of Six Vietnamese Accounting Standards (Series 4); and
- ▶ Decision No. 100/2005/QĐ-BTC dated 28 December 2005 on the Issuance and Promulgation of Four Vietnamese Accounting Standards (Series 5).

Accordingly, the accompanying consolidated financial statements, including their utilisation are not designed for those who are not informed about Vietnam's accounting principles, procedures and practices and furthermore are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles and practices generally accepted in countries other than Vietnam.

2.2 *Applied accounting documentation system*

The Company's applied accounting documentation system is the General Journal.

2.3 *Fiscal year*

The Company and its subsidiaries' fiscal year applicable for the preparation of its consolidated financial statements starts on 1 January and ends on 31 December.

2.4 *Accounting currency*

The consolidated financial statements are prepared in VND.

2.5 *Basis of consolidation*

The consolidated financial statements comprise the financial statements of the Company and its subsidiaries for the year ended 31 December 2016.

Subsidiaries are fully consolidated from the date of acquisition, being the date on which the Company obtains control, and continued to be consolidated until such control ceases.

The financial statements of subsidiaries are prepared for the same reporting year as the parent company, using consistent accounting policies.

All intra-company balances, income and expenses and unrealised gains or losses result from intra-company transactions are eliminated in full.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

2. BASIS OF PREPARATION (continued)

2.5 Basis of consolidation (continued)

Non-controlling interests represent the portion of profit or loss and net assets not held by the Group and are presented separately in the consolidated income statement and within equity in the consolidated balance sheet, separately from parent shareholders' equity.

Impact of change in the ownership interest of a subsidiary, without a loss of control, is recorded in undistributed earnings.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

3.1 Cash and cash equivalents

Cash and cash equivalents comprise cash on hand, cash in banks and short-term, highly liquid investments with an original maturity of less than three months that are readily convertible into known amounts of cash and that are subject to an insignificant risk of change in value.

3.2 Inventories

Inventories are stated at the lower of cost incurred in bringing each product to its present location and condition, and net realisable value.

Net realisable value is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date and less costs to completion and the estimated selling costs.

The perpetual method is used to record inventories, which are valued using first in, first out basis and weighted average basis.

Inventory property

Property acquired or being constructed for sale in the ordinary course of business or for long-term lease qualified for recognition of outright sales, rather than to be held for rental or capital appreciation, is held as inventory and is measured at the lower of cost incurred in bringing the inventories to their present location and condition, and net realisable value.

Cost of inventory property includes:

- ▶ Freehold and leasehold rights for land, land development fees; and
- ▶ Amounts paid to contractors for construction; and
- ▶ Borrowing costs, planning and design costs, costs of site preparation, professional fees for legal services, property transfer taxes, construction overheads and other related costs.

Net realisable value is the estimated selling price in the ordinary course of the business, based on market prices at the reporting date, less costs to completion and the estimated costs of sale.

The cost of inventory property recognised in the consolidated income statement on disposal is determined with reference to the specific costs incurred on the property sold and an allocation of common costs based on the relative size of the inventory property.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.2 Inventories (continued)

Provision for obsolete inventories

An inventory provision is created for the estimated loss arising due to the impairment of value (through diminution, damage, obsolescence, etc.) of raw materials, finished goods, and other inventories owned by the Company and its subsidiaries, based on appropriate evidence of impairment available at the consolidated balance sheet date.

Increases or decreases to the provision balance are recorded in the cost of goods sold account in the consolidated income statement.

3.3 Receivables

Receivables are presented in the consolidated financial statements at the carrying amounts due from customers and other debtors, after provision for doubtful debts .

The provision for doubtful debts represents amounts of outstanding receivables at the consolidated balance sheet date which are doubtful of being recovered. Increases and decreases to the provision balance are recorded as general and administrative expense in the consolidated income statement.

3.4 Tangible fixed assets

Tangible fixed assets are stated at cost less accumulated depreciation.

The cost of a tangible fixed asset comprises its purchase price and any directly attributable costs of bringing the tangible fixed asset to working condition for its intended use.

Expenditures for additions, improvements and renewals are added to the carrying amount of the assets and expenditures for maintenance and repairs are charged to the consolidated income statement as incurred.

When tangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the consolidated income statement.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.5 Leased assets

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date and requires an assessment of whether the fulfilment of the arrangement is dependent on the use of a specific asset and the arrangement conveys a right to use the asset.

A lease is classified as a finance lease whenever the terms of the lease transfer substantially all the risks and rewards of ownership of the asset to the lessee. All other leases are classified as operating leases.

Where the Company and its subsidiaries are lessors

Assets subject to operating leases are presented as investment properties in the consolidated balance sheet. Initial direct costs incurred in negotiating an operating lease are recognised in the consolidated income statement as incurred.

Lease income is recognised in the consolidated income statement on a straight-line basis over the lease term.

Where the Company and its subsidiaries are lessees

Rentals under operating leases are charged to the consolidated income statement on a straight-line basis over the lease term.

3.6 Intangible fixed assets

Intangible fixed assets are stated at cost less accumulated amortisation.

The cost of an intangible fixed asset comprises its purchase price and any directly attributable costs of preparing the intangible fixed asset for its intended use.

Expenditures for additions, improvements are added to the carrying amount of the assets and other expenditures are charged to the consolidated income statement as incurred.

When intangible fixed assets are sold or retired, any gain or loss resulting from their disposal (the difference between the net disposal proceeds and the carrying amount) is included in the consolidated income statement.

Land use rights

Definite and indefinite land use rights are recorded as intangible fixed assets based on land use right certificates issued by governing bodies.

The advance payment for land rental, of which the land lease contracts have effectiveness prior to 2003 and Land use right certificate being issued, are recorded as intangible asset according to Circular No. 45/2013/TT-BTC issued by the Ministry of Finance on 25 April 2013 guiding the management, use and depreciation of fixed assets ("Circular 45").

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.7 Depreciation and amortisation

Depreciation of tangible fixed assets and amortisation of intangible fixed assets are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Buildings and structures	8 - 48 years
Machinery and equipment	9 - 10 years
Means of transportation	3 - 12 years
Office equipment	2 - 10 years
Copyrights	5 - 10 years
Computer software	3 - 10 years
Others	4 years

3.8 Investment properties

Investment properties are stated at cost including transaction costs less accumulated depreciation.

Subsequent expenditure relating to an investment property that has already been recognized is added to the net book value of the investment property when it is probable that future economic benefits, in excess of the originally assessed standard of performance of the existing investment property, will flow to the Company and its subsidiaries.

Depreciation and amortisation of investment properties are calculated on a straight-line basis over the estimated useful life of each asset as follows:

Buildings and structures	47 years
Others	9 - 10 years

The Company and its subsidiaries does not amortise indenfinite land use rights presented as investment properties.

Investment properties are derecognised when either they have been disposed of or when the investment properties are permanently withdrawn from use and no future economic benefit is expected from its disposal. The difference between the net disposal proceeds and the carrying amount of the assets is recognised in the consolidated income statement in the year of retirement or disposal.

Transfers are made to investment properties when, and only when, there is a change in use, evidenced by ending of owner-occupation, commencement of an operating lease to another party or ending of construction or development. Transfers are made from investment properties when, and only when, there is change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale. The transfer from investment property to owner-occupied property or inventories does not change the cost or the carrying value of the property for subsequent accounting at the date of change in use.

3.9 Borrowing costs

Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds.

Borrowing costs are recorded as expense during the year in which they are incurred, except to the extent that borrowing costs that are directly attributable to the acquisition, construction or production of an asset that necessarily take a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the respective asset.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.10 Prepaid expenses

Prepaid expenses are reported as short-term or long-term prepaid expenses on the consolidated balance sheet and amortised over the period for which the amounts are paid or the period in which economic benefits are generated in relation to these expenses.

Short-term prepaid expenses include commission fees for selling apartments, provisional corporate income tax for down payments from customers for the purchase of apartments at Vinhomes Times City project, Vinhomes Metropolis project and other prepaid expenses that are expected to generate future economic benefit for less than one normal business cycle.

Long-term prepaid expenses include long-term prepaid land rental, pre-operation expenditure, tools and supplies, and other prepaid expenses that bring future economic benefits for more than one year.

Prepaid land rental

The prepaid land rental represents the unamortised balance of advance payment made in accordance with the lease contract signed with the authorities. Such prepaid rental is recognised as a long-term prepaid expense and is amortised to the consolidated income statement over the remaining lease period according to Circular 45.

Other prepaid expenses

Substantial expenditure on fixed asset overhaul is recorded as prepaid expense and are amortised to the consolidated income statement.

3.11 Business combinations and goodwill

Business combinations are accounted for using the purchase method. The cost of a business combination is measured as the fair value of assets given, equity instruments issued and liabilities incurred or assumed at the date of exchange plus any costs directly attributable to the business combination. Identifiable assets and liabilities and contingent liabilities assumed in a business combination are measured initially at fair values at the date of business combination.

Goodwill acquired in a business combination is initially measured at cost being the excess of the cost the business combination over the Company and its subsidiaries' interest in the net fair value of the acquiree's identifiable assets, liabilities and contingent liabilities. If the cost of a business combination is less than the fair value of the net assets of the subsidiary acquired, the difference is recognized directly in the consolidated income statement. After initial recognition, goodwill is measured at cost less any accumulated amortisation. Goodwill is amortised over 10-year period on a straight-line basis. The parent company conducts the periodical review for impairment of goodwill of investment in subsidiaries. If there are indicators of impairment loss incurred is higher than the yearly allocated amount of goodwill on the straight-line basis, the higher amount will be recorded in the consolidated income statement.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.11 Business combinations and goodwill (continued)

Business combinations involving entities or businesses under common control

Business combinations involving entities or businesses under common control are accounted for as follows:

- ▶ The assets and liabilities of the two combined entities are reflected at their carrying amounts on the date of business combination;
- ▶ No goodwill is recognised from the business combination;
- ▶ The consolidated income statement reflects the results of the combined entities from the date of the business combination; and
- ▶ Any difference between the consideration paid and the net assets of the acquiree is recorded in equity.

3.12 Investments

Investments in associates

The Company and its subsidiaries' investment in their associate is accounted for using the equity method of accounting. An associate is an entity in which the the Company and its subsidiaries have significant influence that is neither subsidiaries nor joint ventures. The Company and its subsidiaries generally deem they have significant influence if they have over 20% of the voting rights.

Under the equity method, the investment is carried in the consolidated balance sheet at cost plus post acquisition changes in the Company and its subsidiaries' share of net assets of the associates. Goodwill arising on acquisition of the associate is included in the carrying amount of the investment. Goodwill is not amortised and subject to annual review for impairment by the Company and its subsidiaries. The consolidated income statement reflects the share of the post-acquisition results of operation of the associate.

The share of post-acquisition profit/(loss) of the associates is presented on face of the consolidated income statement and its share of post-acquisition movements in reserves is recognised in reserves. The cumulative post-acquisition movements are adjusted against the carrying amount of the investment. Dividend/profit sharing received or receivable from associates reduces the carrying amount of the investment.

The financial statements of the associates are prepared for the same reporting period and use the same accounting policies as the Company and its subsidiaries. Where necessary, adjustments are made to bring the accounting policies in line with those of the Company and its subsidiaries.

Held-for-trading securities and investments in other entities

Held-for-trading securities and investments in other entities are stated at their acquisition costs.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.12 Investments (continued)

Provision for diminution in value of the held-for-trading securities and investments in entities

Provision is made for any diminution in value of the held-for-trading securities and investments entities at the balance sheet date in accordance with the guidance under the Circular No. 228/2009/TT-BTC dated 7 December 2009 and Circular No. 89/2013/TT-BTC dated 26 June 2013 issued by the Ministry of Finance. Increases or decreases to the provision balance are recorded as finance expense in the consolidated income statement.

Held-to-maturity investments

Held-to-maturity investments are initially recorded at costs. After initial recognition, held-to-maturity investments are measured at recoverable amount. Any impairment loss incurred is recognised as finance expense in the consolidated financial statements and deducted against the value of such investments.

3.13 Payables and accruals

Payables and accruals are recognised for amounts to be paid in the future for goods and services received, whether or not billed to the Company and its subsidiaries. Payables to construction contractors are recognised for amounts certified by the construction work certificate signed with contractors, whether or not billed to the Company and its subsidiaries.

3.14 Provisions

General provision

Provisions are recognised when the Company and its subsidiaries have a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

When the Company and its subsidiaries expect some or all of a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the consolidated income statement net of any reimbursement.

If the effect of the time value of money is material, provisions are discounted using a current pretax rate that reflects, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognised as a finance expense.

Warranty provision for apartments and villas

The Company and its subsidiaries estimate provision for warranty expenses based on revenues and available information about the repair of apartments sold in the past.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.15 Foreign currency transactions

The Company and its subsidiaries apply guidance of Circular 53/2016/TT-BTC dated 21 March 2016 amending and supplementing some articles of Circular 200 to record foreign currency transactions.

Transactions in currencies other than the Company and its subsidiaries' reporting currency of VND are recorded at the exchange rate that approximates the average of buying and selling transfer exchange rates announced by the commercial bank where the Company and its subsidiaries most frequently conduct their transactions ("the average transfer exchange rate"). This approximate exchange rate does not exceed +/- 1% of the average transfer exchange rate. The average transfer exchange rate is determined monthly based on the average of daily buying transfer rates and selling transfer rates of the commercial bank.

At the end of the year, balances of monetary items denominated in foreign currencies are translated at the transfer exchange rate announced by the commercial bank where the Company and its subsidiaries most frequently conduct their transactions. This transfer exchange rate is the buying transfer exchange rate of the commercial bank.

All foreign exchange differences incurred during the year and arisen from the translation of monetary accounts denominated in foreign currency at year-end are taken to the consolidated income statement.

3.16 Appropriation of net profits

Net profit after tax (excluding negative goodwill arising from a bargain purchase) is available for appropriation to shareholders after approval in the annual general meeting, and after making appropriation to reserve funds in accordance with the Company's Charter and Vietnam's regulatory requirements.

3.17 Advance from customers

Advance from customers for purchasing apartment in the future, which has not qualified to recognised as revenue for the year, is recorded to account "Advance from customers" in liability of the consolidated balance sheet.

3.18 Revenue recognition

Revenue is recognised to the extent that it is probable that the economic benefits will flow to the Company and its subsidiaries and the revenue can be reliably measured. Revenue is measured at the fair value of the consideration received or receivable, excluding trade discount, rebate and sales return. The following specific recognition criteria must also be met before revenue is recognised:

Revenue from sale of inventory property

Revenue from sale of inventory property is recognised when the significant risks and rewards incident to ownership of the properties have passed to the buyer.

Revenue from sale of inventory property also includes long-term lease of inventory property qualified for recognition of outright sales. If the lease-term is greater than 90% of the asset's useful life, the Company and its subsidiaries will recognize the revenue for the entire prepaid lease payment if all of the following conditions are met:

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.18 Revenue recognition (continued)

Revenue from sale of inventory property (continued)

- ▶ Lessee is not allowed to cancel the lease contract during the lease term, and the lessor is not responsible for reimbursing the prepaid lease payments under any circumstances;
- ▶ The prepaid lease payment is not less than 90% of the total estimated lease payment collected under contract over the lease period and lessee must pay all rental within 12 months from the commencement of the lease;
- ▶ Almost all risks and rewards associated with the ownership of leased assets are transferred to the lessee; and
- ▶ Lessor must estimate the full cost of leasing activity.

Sale of goods

Revenue is recognised when the significant risks and rewards of ownership of the goods have passed to the buyer, usually upon the delivery of the goods.

Rendering services

Revenue from rendering service is recognised when service is rendered for customers.

Revenue from investment cooperation activity

Revenue from investment cooperation activity is recognised as shared revenue and determined reliably according to the investment cooperation contract.

Rental income

Rental income arising from operating leases is accounted for on a straight line basis over the lease term.

Interest

Revenue is recognised as the interest accrues (taking into account the effective yield on the asset) unless collectability is in doubt.

Dividends

Income is recognised when the Company and its subsidiaries' entitlement as an investor to receive the dividend is established.

Gain from securities trading and capital transfer

Gains from securities trading and capital transfer are determined as the excess of selling prices against the cost of securities sold. Such gains are recognised on the trade date when the relevant contracts are executed.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.19 Taxation

Current income tax

Current income tax assets and liabilities for the current and prior years are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted as at the consolidated balance sheet date.

Current income tax is charged or credited to the consolidated income statement, except when it relates to items recognised directly to equity, in which case the current income tax is also dealt with in equity.

Current income tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to set off current tax assets against current tax liabilities and when the Company and its subsidiaries intend to settle their current tax assets and liabilities on a net basis.

Deferred tax

Deferred tax is provided using the liability method on temporary differences at the consolidated balance sheet date between the tax base of assets and liabilities and their carrying amount for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences, except:

- ▶ where the deferred tax liability arises from the initial recognition of an asset or liability in a transaction which at the time of the related transaction affects neither the accounting profit nor taxable profit or loss;
- ▶ in respect of taxable temporarily differences associated with investments in subsidiaries and associates, and interests in joint ventures where timing of the reversal of the temporary difference can be controlled and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred tax assets are recognised for all deductible temporary differences, carried forward unused tax credit and unused tax losses, to the extent that it is probable that taxable profit will be available against which deductible temporary differences, carried forward unused tax credit and unused tax losses can be utilised, except:

- ▶ where the deferred tax asset in respect of deductible temporary difference which arises from the initial recognition of an asset or liability which at the time of the related transaction, affects neither the accounting profit nor taxable profit or loss.
- ▶ in respect of deductible temporarily differences associated with investments in subsidiaries, associates, and interests in joint ventures, deferred tax assets are recognised only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilised.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Previously unrecognised deferred tax assets are re-assessed at each balance sheet date and are recognised to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (continued)

3.19 Taxation (continued)

Deferred tax (continued)

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled based on tax rates and tax laws that have been enacted at the balance sheet date.

Deferred tax is charged or credited to the consolidated income statement, except when it relates to items recognised directly to equity, in which case the deferred tax is also dealt with in the equity account.

Deferred tax assets and liabilities are offset when there is a legally enforceable right for the Company and its subsidiaries to off-set current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority on:

- ▶ either the same taxable entity; or
- ▶ when the Company and its subsidiaries intend either settle current tax liabilities and assets on a net basis or to realise the assets and settle the liabilities simultaneously, in each future period in which significant amounts of deferred tax liabilities or assets are expected to be settled or recovered.

3.20 Segment information

A segment is a component determined separately by the Company and its subsidiaries which is engaged in providing products or related services (business segment), that is subject to risks and returns that are different from those of other segments.

Management defines the Company and its subsidiaries' segments to be based on the products and services provided.

4. SIGNIFICANT ACQUISITIONS AND DISPOSALS DURING THE YEAR

4.1 Business combination

Acquisition of Vinpearlland JSC, a new subsidiary

On 26 September 2016, the Company acquired 100% equity interest in Vinpearlland Limited Liabilities Company ("Vinpearlland LLC") from Vingroup JSC, parent company, with total consideration of VND4,415 billion. Thereby, Vinpearlland LLC became the Company's subsidiary. On 24 November 2016, the Company transferred 2% equity interest in Vinpearlland LLC to corporate counterparties. On 1 December 2016, Vinpearlland LLC transformed into a shareholding company, named Vinpearlland JSC.

Vinpearlland JSC subsequently issued additional 13,216,067 shares to Vinpearl Phu Quoc One Member Limited Liabilities Company ("Vinpearl Phu Quoc LLC"), another subsidiary of Vingroup JSC. On 21 December 2016, the Company acquired all shares of Vinpearlland JSC held by Vinpearl Phu Quoc LLC. As at 31 December 2016, the Company has 98.19% voting right in this subsidiary.

The principal activities of Vinpearlland JSC is to provide amusement park and theme park entertainment services.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

4. SIGNIFICANT ACQUISITIONS AND DISPOSALS DURING THE YEAR (continued)

4.1 Business combination (continued)

Acquisition of Vinpearlland JSC, a new subsidiary (continued)

The fair value of identifiable assets and liabilities of Vinpearlland JSC at the acquisition date are presented below:

	<i>Currency: VND</i>
	<i>Fair value recognised at acquisition date</i>
Assets	
Cash and cash equivalents	30,875,166,530
Short-term receivables	570,820,827,655
Other current assets	19,349,131,317
Inventories	13,354,841,841
Long-term receivables	33,209,402,437
Tangible fixed assets	2,035,058,006,877
Intangible assets and other assets	3,632,094,174
Investment properties	27,531,333,786
Construction in progress	67,486,957,231
Other non-current assets	29,520,978,512
Total	2,830,838,740,360
Liabilities	
Short-term borrowings	946,668,419,492
Short-term trade payables and other payables	227,639,147,507
Total identifiable net assets	1,656,531,173,361
Non-controlling interest	-
Other funds belonging to owners' equity (Note 27.1)	2,759,030,246,311
Total consideration	4,415,561,419,672
Analysis of cash flows on acquisition	
Cash of the acquired subsidiary	30,875,166,530
Cash paid of acquiring the subsidiary up to 31 December 2016	(4,415,561,419,672)
Net cash flow used in acquisition	(4,384,686,253,142)

Total consideration of VND4,415 billion was fully paid in cash. Loss before tax of Vinpearlland JSC for the period from the acquisition date to the 31 December 2016 was VND49 billion.

Acquisition of Ecology JSC, a new subsidiary

On 15 December 2016, the Company acquired 80.94% shares of Ecology JSC from individuals with total consideration of VND6,013 billion. Thereby, Ecology JSC became the Company's subsidiary. At the acquisition date, Ecology JSC held investments in three (03) subsidiaries and two (02) associates. As at 31 December 2016, Ecology JSC also held investments in following subsidiaries and associates:

- (i) Investments in subsidiaries:
 - ▶ Vietnam Investment and Consulting Investment JSC;
 - ▶ Gia Lam Urban Development and Investment LLC; and
 - ▶ Phu Gia Property Trading LLC.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

4. SIGNIFICANT ACQUISITIONS AND DISPOSALS DURING THE YEAR (continued)

4.1 Business combination (continued)

Acquisition of Ecology JSC, a new subsidiary (continued)

(ii) Investments in associates:

- ▶ Vinaconex Water Supply JSC; and
- ▶ Tay Tang Long Real Estate LLC.

The fair values of identifiable assets and liabilities of Ecology JSC and its subsidiaries at the acquisition date are presented below:

Currency: VND

*Fair value recognised at
acquisition date*

Assets

Cash and cash equivalents	2,338,353,409,059
Short-term loan receivables	2,754,028,571,429
Other short-term receivables	602,152,156,518
Inventories	76,509,048,866
Short-term prepaid expenses	47,568,505,803
Tangible fixed assets	150,697,198,437
Investment properties (i)	1,342,819,401,563
Construction in progress (ii)	6,796,143,809,223
Investments in associates, jointly controlled entities	881,488,610,366
Investment in other entities	24,487,200,000
Other non-current assets	134,714,933,356

15,148,962,844,620

Liabilities

Short-term advances from customers	3,194,052,246,762
Statutory obligations	278,688,960,484
Other short-term payables	445,494,832,498
Short-term loan and finance lease obligations	612,090,490,328
Unearned revenue	1,117,438,026,615
Other current liabilities	90,479,114,803

Total identifiable net assets

9,410,719,173,130

Non-controlling interests (Note 27)	(4,097,282,361,342)
Goodwill from business combination (Note 19)	699,595,711,012
In which, goodwill allocated to:	
- Ecology JSC	369,866,854,773
- Lieu Giai JSC	288,148,907,591
- Gia Lam LLC	1,235,307,223
- Phu Gia LLC	40,344,641,425

Total consideration

6,013,032,522,800

Analysis of cash flows on acquisition

Cash of the acquired subsidiary	2,338,353,409,059
Cash paid for acquiring the subsidiary up to 31 December 2016	(6,013,032,522,800)

Net cash flow used in acquisition

(3,674,679,113,741)

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

4. SIGNIFICANT ACQUISITIONS AND DISPOSALS DURING THE YEAR (continued)

4.1 Business combination (continued)

Acquisition of Ecology JSC, a new subsidiary (continued)

- (i) Investment properties include the fair value at acquisition date of shopping malls of Ecology JSC, including Vincom Bien Hoa, Vincom Quang Trung and Vincom Le Van Viet. The fair value of these shopping malls were evaluated by an independent valuer;
- (ii) Construction in progress mainly includes the fair value at the acquisition date of Vinhomes Metropolis project located in Ba Dinh District, Hanoi. The fair value of this project was evaluated by an independent valuer.

4.2 Acquisition of subsidiaries for the purpose of holding for resale

Acquisition and transfer of Vietnam Lotus Industrial and Commercial Investment Joint Stock Company ("Vietnam Lotus JSC")

On 6 January 2016, the Company acquired 93% shares of Vietnam Lotus JSC from corporate counterparties with total consideration of VND583 billion and thereby, Vietnam Lotus JSC became a subsidiary of the Company. The principal activities of Vietnam Lotus JSC are to develop and trade real estate properties.

The Company assessed that the acquisition of Vietnam Lotus JSC is an acquisition with a view to resale within 12 months, and thereby, the Company only temporarily controlled Vietnam Lotus JSC. Accordingly, the Company did not consolidate the financial statements of this company.

On 12 April 2016, the Company transferred all shares of Vietnam Lotus JSC with total consideration of VND583 billion to corporate counterparties. Profit/loss from this transfer was nil.

4.3 Significant disposals with loss of control

Disposal of Can Gio Tourism Urban Area Joint Stock Company ("Can Gio Tourism JSC")

On 1 September 2016, Dong Phu Hung – Binh Thuan JSC, a subsidiary, disposed 34.9% shares of Can Gio Tourism JSC to Tan Lien Phat Construction Investment Corporation JSC with total consideration of VND4,984 billion. Gain from this disposal was recognised in the consolidated income statement.

Disposal of Dong Phu Hung – Binh Thuan Joint Stock Company ("Dong Phu Hung – Binh Thuan JSC")

On 1 November 2016, the Company disposed 90% shares of Dong Phu Hung – Binh Thuan JSC to corporate counterparties with total consideration of VND450 billion. Loss from this disposal was recognised in the consolidated income statement.

Reduction of equity interest in and loss of control of Vinmec International General Hospital Joint Stock Company ("Vinmec JSC")

On 14 November 2016, Vinmec JSC issued additional shares to Vingroup JSC, parent company, thereby, reduced equity interest of the Company in Vinmec JSC to 45.05%. As a result, Vinmec JSC became an associate of the Company (Note 18.1).

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5. CASH AND CASH EQUIVALENTS

	Currency: VND	
	<i>Ending balance</i>	<i>Beginning balance</i>
Cash on hand	6,697,482,907	2,576,541,406
Cash at banks	933,191,537,760	543,580,945,379
Cash in transit	1,578,389,493	-
Cash equivalents	1,860,955,500,000	10,554,000,000
TOTAL	2,802,422,910,160	556,711,486,785

Cash equivalents include bank deposits in VND with terms of 1 month and earning interest rate from 4.3% to 5.0% per annum (2015: from 4% to 4.5% per annum).

Additional information regarding the consolidated cash flow statement:

	Currency: VND	
	<i>Current year</i>	<i>Previous year</i>
Significant non-cash transactions that will have impact on the consolidated cash flow statement in the future:		
Purchases of assets by taking over the related debt or through finance lease arrangements	251,252,231,347	(248,669,094,621)
Actual cash received from loans		
- Cash received from normal loan agreements	11,161,421,565,443	9,455,999,433,335
Actual cash payment of loans		
- Cash payment for normal loan agreements	5,889,869,040,550	11,248,137,027,506
- Cash payment for principal of bonds	700,000,000,000	1,300,000,000,000

6. SHORT-TERM TRADE RECEIVABLES AND ADVANCES TO SUPPLIERS

6.1 Short-term trade receivables

	Currency: VND	
	<i>Ending balance</i>	<i>Beginning balance</i>
Trade receivables	408,400,085,783	101,714,508,032
- Joint Stock Commercial Bank for Foreign Trade of Vietnam	36,712,658,040	36,712,658,040
- Other customers	371,687,427,743	65,001,849,992
Receivables from related parties (Note 35)	17,595,424,410	15,500,311,203
TOTAL	425,995,510,193	117,214,819,235

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6. SHORT-TERM TRADE RECEIVABLES AND ADVANCES TO SUPPLIERS (continued)

6.2 Short-term advances to suppliers

	Currency: VND	
	Ending balance	Beginning balance
Advances to suppliers	526,859,344,695	938,588,497,194
- Intamin Amusement Rides Company	148,797,161,908	-
- Vekoma Rides Manufacturing Company	93,789,810,030	-
- A corporate counterparty providing construction materials to Vinhomes Times City project	8,000,000,000	150,000,000,000
- A corporate counterparty providing construction services to Vinhomes Times City project	-	127,524,901,859
- Others	276,272,372,757	661,063,595,335
Advances to related parties (Note 35)	8,738,873,196	92,661,170,962
TOTAL	535,598,217,891	1,031,249,668,156

These are advances to suppliers, construction contractors and construction consultants involved in Vinhomes Times City project, Vinhomes Metropolis, Vinpearland Amusement Park project, repair and upgrading of store chains of VinDS LLC and other projects of Company and its subsidiaries.

7. LOAN RECEIVABLES

	Currency: VND	
	Ending balance	Beginning balance
Short-term		
Current portion of long-term lendings	24,697,885,462	22,139,790,100
Loans to corporate counterparties (i)	443,757,339,030	-
Loans to related parties (Note 35)	2,654,200,738,202	2,185,800,000,000
	3,122,655,962,694	2,207,939,790,100
Provisions for doubtful loan receivables	(8,733,688,735)	(4,128,906,655)
Long-term		
Long-term receivables from corporate counterparties	3,989,915,115	7,559,839,165
	3,989,915,115	7,559,839,165

(i) This is unsecured loan with term of 12 months, earning interest rate of 7% per annum.

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8. OTHER RECEIVABLES

		Currency: VND	
		Ending balance	Beginning balance
Short-term			
Customers' advances collected by third party on behalf of the Company and its subsidiaries	431,005,348,149	-	
Interest receivables	28,260,407,430	29,189,532,825	
Short-term deposits	46,933,800,625	13,854,078,822	
Receivables from the centralised cash flow management account	15,332,869,730	453,984,586,790	
Advances to employees	-	4,558,011,548	
Receivables from medical sponsoring contract	-	46,000,000,000	
Receivables from collection on behalf	9,327,472,790	-	
Other short-term receivables	9,259,874,829	6,247,422,017	
	540,119,773,553	553,833,632,002	
<i>In which:</i>			
Other short-term receivables	520,823,971,146	86,470,654,859	
Short-term receivables from related parties (Note 35)	19,295,802,407	467,362,977,143	
Long-term			
Deposits for outlet rentals	94,166,061,172	9,293,744,388	
Other receivables	2,230,484,445	1,651,692,778	
	96,396,545,617	10,945,437,166	
<i>In which:</i>			
Other long-term receivables	96,396,545,617	10,945,437,166	
Long-term receivables from related parties (Note 35)	-	-	

9. BAD DEBTS

Bad debts of the Company and its subsidiaries mainly include principal and interest receivables that are overdue from corporate counterparties:

				Currency: VND
Debtor	Ending balance		Beginning balance	
	Cost	Recoverable amount	Cost	Recoverable amount
Corporate counterparties	15,999,942,000	7,266,253,265	15,999,942,000	11,871,035,345
TOTAL	15,999,942,000	7,266,253,265	15,999,942,000	11,871,035,345

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as at 31 December 2016 and for the year then ended

10. INVENTORIES

Currency: VND

	Ending balance		Beginning balance	
	Cost	Provision	Cost	Provision
Inventory properties under construction (i)	8,077,767,596,222	-	5,925,886,077,510	-
Inventories for rental outlets (ii)	283,779,551,173	(8,386,879,738)	104,732,696,291	(1,188,910,691)
Completed inventory properties (i)	110,504,231,111	-	85,542,200,013	-
Inventories for hospitals	-	-	28,807,744,646	-
Others	11,367,738,577	-	2,697,436,053	-
TOTAL	8,483,419,117,083	(8,386,879,738)	6,147,666,154,513	(1,188,910,691)

- (i) This represents construction costs of inventory properties for sale, which mainly comprise direct construction costs of residential apartments for sale in Vinhomes Times City project and Vinhomes Riverside project and other allocated overhead costs such as land use fees, land compensation and site clearance, capitalised borrowing costs, planning and design costs, construction management costs and other related costs.
- (ii) These are merchandises of VinDS LLC for retailing at its beauty, sports and fashion stores.

Movements of provision for obsolete inventories:

	Currency: VND	
	Current year	Previous year
Beginning balance	1,188,910,691	-
Add: Provision made during the year	8,386,879,738	1,188,910,691
Less: Utilisation and reversal of provision during the year	(1,188,910,691)	-
Ending balance	8,386,879,738	1,188,910,691

11. PREPAID EXPENSES

Currency: VND

	Ending balance	Beginning balance
Short-term		
Commission fee related to apartments not yet handed over to buyers	265,578,091,639	339,189,167,134
Provisional corporate income tax for down payments from customers	115,369,577,568	87,778,670,395
Tools and equipment	4,382,971,982	5,006,642,159
Others	17,701,902,256	7,917,456,048
TOTAL	403,032,543,445	439,891,935,736

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11. PREPAID EXPENSES (continued)

	Currency: VND	
	Ending balance	Beginning balance
Long-term		
Tools and equipment	36,423,073,830	32,504,847,537
Expenditure for overhaul	4,612,619,069	6,339,118,324
Pre-operating expenses	1,604,671,224	5,382,321,492
Others	4,933,726,222	2,527,090,174
TOTAL	47,574,090,345	46,753,377,527

12. OTHER CURRENT ASSETS

	Currency: VND	
	Ending balance	Beginning balance
Electrical equipment system (i)	96,816,638,037	109,019,686,220
Prepaid dividends	-	320,153,069,707
Deposits for investment purpose	-	454,592,793,495
TOTAL	96,816,638,037	883,765,549,422

- (i) This is electrical equipment system which will be transferred to Hanoi City Power Corporation.

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13. TANGIBLE FIXED ASSETS

	Buildings and structures	Machinery and equipment	Means of transportation	Office equipment	Others	Total
Currency: VND						
Cost:						
Beginning balance	1,732,328,326,703	1,096,890,638,215	4,673,248,022	124,021,254,907	849,100,037	2,958,762,567,884
Additions	1,883,829,912,095	2,017,176,133,390	59,074,969,046	67,731,737,814	54,011,685,779	4,081,824,438,124
In which:						
- Newly purchased	-	572,790,083,222	8,465,129,290	63,217,088,633	982,404,000	645,454,705,145
- Transfer from construction in progress	548,305,125,068	48,715,068,157	-	-	-	597,020,193,225
- Acquisition of subsidiaries	1,308,426,230,810	1,290,618,868,228	50,609,839,756	4,514,649,181	53,029,281,779	2,707,198,869,754
- Other additions	27,098,556,217	105,052,173,783	-	-	-	132,150,670,000
Reclassification	(49,959,754,687)	50,029,490,793	48,557,987	(118,294,093)	-	-
Disposal	(11,953,779,893)	(112,424,475,852)	-	(1,130,010,487)	(1,054,780,042)	(126,563,046,274)
Disposal of subsidiaries	(1,350,882,944,184)	(1,665,041,014,494)	(8,165,618,857)	(41,840,820,034)	(663,736,400)	(3,066,594,133,969)
Other decreases	-	-	-	(69,299,091)	-	(69,299,091)
Ending balance	2,203,361,760,034	1,386,630,772,052	55,631,156,198	148,594,569,016	53,142,269,374	3,847,360,526,674
Fully depreciated	644,793,418	19,371,755,031	1,600,125,551	6,301,457,083	1,894,550,359	29,812,681,442
Accumulated depreciation:						
Beginning balance	123,563,588,429	376,597,094,527	2,942,323,295	23,421,395,518	307,090,095	526,831,491,864
Additions	532,895,511,875	213,088,827,276	16,906,167,862	33,268,042,189	18,060,558,788	814,219,107,990
In which:						
- Depreciation for the year	110,744,422,935	148,989,530,299	1,336,427,369	30,227,386,016	1,477,676,932	292,775,443,551
- Acquisition of subsidiaries	422,151,088,940	64,099,296,977	15,569,740,493	3,040,656,173	16,582,881,856	521,443,664,439
Reclassification	(8,219,954,371)	8,338,248,464	-	(118,294,093)	-	-
Disposal	(3,242,206,189)	(30,262,731,340)	-	16,137,492	(235,581,890)	(33,724,381,927)
Disposal of subsidiaries	(157,019,942,078)	(496,877,608,342)	(1,423,069,554)	(27,874,936,485)	(376,761,842)	(683,572,318,301)
Other decreases	-	-	-	(69,299,090)	-	(69,299,090)
Ending balance	487,976,997,666	70,883,830,585	18,425,421,603	28,643,045,531	17,755,305,151	623,684,600,536
Net carrying amount:						
Beginning balance	1,608,764,738,274	720,293,543,688	1,730,924,727	100,599,859,389	542,009,942	2,431,931,076,020
Ending balance	1,715,384,762,368	1,315,746,941,467	37,205,734,595	119,951,523,485	35,386,964,223	3,223,675,926,138

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14. INTANGIBLE FIXED ASSETS

					Currency: VND
					Total
				Land use rights	
			Computer software		
Cost:		Copyrights			
Beginning balance	12,622,604,317		22,610,871,951	-	35,233,476,268
Additions	15,246,003,748		9,399,998,854	3,365,229,021	28,011,231,623
- Newly purchased	15,246,003,748		5,391,199,574	-	20,637,203,322
- Acquisition of subsidiaries	-		4,008,799,280	3,365,229,021	7,374,028,301
Disposal of subsidiaries	-		(12,637,310,000)	-	(12,637,310,000)
Ending balance	27,868,608,065		19,373,560,805	3,365,229,021	50,607,397,891
Fully amortised	-		2,520,081,718	-	2,520,081,718
Accumulated amortisation:					
Beginning balance	41,486,989		6,986,695,422	-	7,028,182,411
Additions	4,250,073,829		6,534,736,647	1,220,176,940	12,004,987,416
- Amortisation for the year	4,250,073,829		4,067,349,499	54,587,229	8,372,010,557
- Acquisition of subsidiaries	-		2,467,387,148	1,165,589,711	3,632,976,859
Disposal of subsidiaries	-		(6,383,556,731)	-	(6,383,556,731)
Ending balance	4,291,560,818		7,137,875,338	1,220,176,940	12,649,613,096
Net carrying amount:					
Beginning balance	12,581,117,328		15,624,176,529	-	28,205,293,857
Ending balance	23,577,047,247		12,235,685,467	2,145,052,081	37,957,784,795

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15. INVESTMENT PROPERTIES

	<i>Buildings and structures</i>	<i>Indefinite land use rights</i>	<i>Machinery and equipment</i>	<i>Currency: VND Total</i>
Cost:				
Beginning balance	205,597,295,043	4,566,717,645	34,563,725,893	244,727,738,581
Transfer from construction in progress	262,910,910,604	-	77,724,662,109	340,635,572,713
Acquisition of subsidiaries	1,278,255,202,624	-	133,518,146,539	1,411,773,349,163
Reclassification	(21,745,256,197)	(1,492,085,858)	23,237,342,055	-
Ending balance	1,725,018,152,074	3,074,631,787	269,043,876,596	1,997,136,660,458
Accumulated depreciation:				
Beginning balance	10,200,665,099	-	10,126,141,255	20,326,806,354
Depreciation for the year	9,526,981,888	-	6,890,079,026	16,417,060,914
Acquisition of subsidiaries	38,415,430,027	-	3,007,183,787	41,422,613,814
Reclassification	(2,513,478,736)	-	2,513,478,736	-
Ending balance	55,629,598,278	-	22,536,882,804	78,166,481,082
Net carrying amount:				
Beginning balance	195,396,629,944	4,566,717,645	24,437,584,638	224,400,932,227
Ending balance (i)	1,669,388,553,796	3,074,631,787	246,506,993,792	1,918,970,179,375

(i) Investment properties as at 31 December 2016 are the shopping malls of Ecology JSC (Note 4), land use rights and accompanying assets of office for lease component and the parking area of Lot 6 in Vinhomes Times City project, stores at Vinpearl shopping malls in Vinpearl Nha Trang and Vinpearl Phu Quoc Amusement Parks, and Russian Restaurants in Vinpearl Nha Trang Water Park. As at 31 December 2016, fair value of the shopping malls of Ecology JSC, stores at Vinpearl shopping mall in Vinpearl Nha Trang Amusement Park are VND1,341 billion and VND90 billion respectively. The Company and its subsidiaries did not perform valuation as at 31 December 2016 for the office for lease component and the parking area of Lot 6 in Vinhomes Times City project due to lack of market information.

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as at 31 December 2016 and for the year then ended

16. CAPITALISED BORROWING COSTS

During the year, the Company and its subsidiaries capitalised borrowing costs amounting to VND6,985,695,101 (for the year ended 31 December 2015: VND211,605,335,516). These costs related to general borrowings taken to finance the construction project of renovation and upgrade of Vinpearlland Cultural and Ecological tourism Park located in Hon Tre island, Vinh Nguyen Ward, Nha Trang City, and Thu Thiem Indoor Amusement Park project in Ho Chi Minh City. The capitalised borrowing costs are determined by applying a capitalisation rate of 7.00% (for the year ended 31 December 2015: 9.69%) on the weighted average of the borrowing rates applicable to the borrowings of the Company and its subsidiaries that are outstanding during the year.

17. CONSTRUCTION IN PROGRESS

	Currency: VND	
	Ending balance	Beginning balance
Vinhomes Metropolis project (i)	3,527,866,789,586	-
Project of renovation and upgrade of Vinpearlland Amusement Parks (ii)	648,487,376,774	-
Vinhomes Times City project (iii)	165,329,465,865	194,066,235,217
Vidifi project (iv)	108,044,747,462	-
Vinmec Hospital projects	-	683,032,268,150
Other projects	3,853,074,585	9,267,093,299
TOTAL	4,453,581,454,272	886,365,596,666

- (i) This comprises costs directly incurred for the construction of shopping malls and other components in Vinhomes Metropolis project and other allocated overhead costs, such as land use fees, land compensation and site clearance costs, planning and design costs, construction management costs and other related costs.
- (ii) This comprises costs directly incurred for the construction of Vinpearlland Cultural and Ecological Tourism Parks, such as planning and design costs, construction management costs and other related costs.
- (iii) This comprises costs directly incurred for the construction of supporting components in Vinhomes Times City project – Phase 2 and other allocated overhead costs, such as land use fees, land compensation and site clearance costs, capitalised borrowing costs, planning and design costs, construction management costs and other related costs.
- (iv) This comprises costs directly incurred for the construction of Vidifi project, such as labour costs, construction management costs, design costs and other related costs.

18. LONG-TERM INVESTMENTS

		Currency: VND			
	Note	Ending balance		Beginning balance	
		Cost	Provision	Cost	Provision
Investments in associates and jointly controlled entities	18.1	8,846,077,533,594	-	7,167,618,256,359	-
Investments in other entities	18.2	1,645,613,852,400	-	1,690,496,960,200	-
Held to maturity	(i)	50,000,000,000	-	-	-
TOTAL		10,541,691,385,994	-	8,858,115,216,559	-

- (i) This represents the investments in bonds of Joint Stock Commercial Bank for Foreign Trade of Vietnam – Ba Dinh branch, with term of 120 months and earn interest at rate of 7.57% per annum for the first year. Interest rate from the following years would be 12-month saving interest (+) 1% per annum. The carrying amount of these bonds as at 31 December 2016 is VND50 billion.

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18. LONG-TERM INVESTMENTS (continued)

18.1 Investments in associates

Movements of the investments in associates are presented below:

	Vincom Retail JSC (iii)	Can Gio Tourism JSC (i)	VinEco LLC (v)	Vinmec JSC (ii)	Viwasupco JSC (iv)	Tay Tang Long LLC (iv)	Total
Currency: VND							
Cost of investment:							
Beginning balance	2,236,080,000,000	4,798,892,080,000	-	-	-	-	7,034,972,080,000
Increase	6,763,557,750,707	-	600,490,000,000	1,270,685,208,344	872,000,000,000	9,000,000,000	9,515,732,959,051
Decrease	(3,523,068,716,119)	(4,798,892,080,000)	-	-	-	-	(8,321,960,796,119)
Ending balance	5,476,569,034,588	-	600,490,000,000	1,270,685,208,344	872,000,000,000	9,000,000,000	8,228,744,242,932
Accumulated share in post-acquisition profit/(loss) of the associates:							
Beginning balance	132,269,663,047	376,513,312	-	-	-	-	132,646,176,359
Share of profit/(loss) from associates	435,196,652,473	19,769,020,420	(2,763,530,801)	49,333,970,395	3,268,082,450	28,453,098	504,832,648,035
Decrease	-	(20,145,533,732)	-	-	-	-	(20,145,533,732)
Ending balance	567,466,315,520	-	(2,763,530,801)	49,333,970,395	3,268,082,450	28,453,098	617,333,290,662
Net carrying amount:							
Beginning balance	2,368,349,663,047	4,799,268,593,312	-	-	-	-	7,167,618,256,359
Ending balance	6,044,035,350,108	-	597,726,469,199	1,320,019,178,739	875,268,082,450	9,028,453,098	8,846,077,533,594

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18. LONG-TERM INVESTMENTS (continued)

18.1 Investment in associates (continued)

Entity	Ending balance		Beginning balance	
	Voting right (%)	Equity interest (%)	Voting right (%)	Equity interest (%)
Can Gio Tourism JSC (i)	-	-	34.90	31.80
Vinmec JSC (ii)	45.05	45.05	-	-
Vincom Retail JSC (iii)	25.71	25.52	27.11	27.11
Viwasupco JSC (iv)	43.60	35.29	-	-
Tay Tang Long LLC (iv)	31.00	25.09	-	-
VinEco LLC (v)	30.00	30.00	-	-

- (i) On 1 September 2016, the Company disposed all of its shared in Can Gio Tourism JSC to Tan Lien Phat Construction Investment Corporation JSC, another subsidiary of Vingroup JSC.
- (ii) On 14 November 2016, Vinmec JSC issued additional ordinary shares to Vingroup JSC, the parent company. As a result, the Company's equity interest in Vinmec JSC decreased to 45.05% and Vinmec JSC became an associate of the Company.
- (iii) On 15 December 2016, shareholders of Vincom Retail Joint Stock Company ("Vincom Retail JSC") approved Resolution No. 07/2016/NQ-DHDCD-Vincom Retail on increasing its capital. Accordingly, Vingroup JSC took all the rights to contribute additional authorized capital of VND4,002 billion. Thereby, the Company and its subsidiaries' equity interest in Vincom Retail JSC decreased to 25.52%.
- (iv) On 15 December 2016, the Company acquired 80.94% shares of Ecology JSC. Thereby, Vinaconex Water Supply JSC ("Viwasupco JSC") and Tay Tang Long Real Estate LLC ("Tay Tang Long LLC") became associates of the Company.
- (v) On 22 December 2016, the Company acquired 30% equity interest of VinEco Agricultural Investment Production and Development LLC ("VinEco LLC") from individuals with total consideration of VND600 billion. Thereby, VinEco LLC became an associate of the Company with equity interest of 30% as at 31 December 2016.

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18. LONG-TERM INVESTMENTS (continued)

18.2 Investments in other entities

Details of other long-term investments as at 31 December 2016 are as follows (*):

Currency: VND

	Ending balance			Beginning balance				
	Number of shares	Voting rights (%)	Ownership (%)	Cost (VND)	Number of shares	Voting rights (%)	Ownership (%)	Cost (VND)
Vinpearl JSC (i)	20,781,830	10.30	10.30	1,303,517,300,200	45,940,796	10.30	10.30	1,555,106,960,200
Vinpearl Trading Investment JSC (i)	25,158,966	10.30	10.30	251,589,660,000	-	-	-	-
Metri Sport and Entertainment Development JSC (ii)	1,000,800	1.20	1.20	32,350,863,000	-	-	-	-
Viwaco JSC (iii)	1,201,800	15.00	15.00	24,487,200,000	-	-	-	-
Vincom 3 Construction Management LLC (iv)	(**)	6.00	6.00	24,000,000,000	-	-	-	-
Southern Star Urban Development and Trading Investment JSC (v)	590,000	0.98	0.98	5,900,000,000	600,000	1.00	1.00	6,000,000,000
Hai Linh Energy JSC (vi)	30,000	3.00	3.00	3,408,829,200	-	-	-	-
Vinhomes 2 Real Estate Trading LLC	(**)	6.00	6.00	360,000,000	(**)	6.00	6.00	360,000,000
Sunflower Investment and Development JSC (vii)	-	-	-	-	3,000,000	1.00	1.00	55,005,000,000
Vinpro Trading and Services LLC (viii)	(**)	-	-	-	(**)	6.00	6.00	60,000,000,000
Vincom 2 Construction Management LLC (iv)	(**)	-	-	-	(**)	6.00	6.00	9,300,000,000
Super High-speed Logistics Services JSC (viii)	-	-	-	-	472,500	3.00	3.00	4,725,000,000
TOTAL				1,645,613,852,400				1,690,496,960,200

(*) The Company and its subsidiaries did not perform valuation of these investments due to lack of market information as at 31 December 2016.

(**) These are limited liabilities companies.

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18. LONG-TERM INVESTMENTS (continued)

18.2 Investments in other entities (continued)

- (i) On 7 November 2016, Vinpearl JSC demerged a portion of its assets and equity to establish a new company named Vinpearl Trading Investment JSC (the demerged entity). Thereby, the previous investment of the Company in Vinpearl JSC was also splitted, with the new equity interest of the Company in Vinpearl JSC and Vinpearl Trading Investment JSC being 10.30%.
- (ii) On 13 July 2016, the Company acquired 1.20% shares of Metri Sport and Entertainment Development JSC from an individual with total consideration of VND32 billion.
- (iii) On 15 December 2016, the Company acquired 80.94% shares of Ecology JSC from individuals with total consideration of VND6,013 billion. Thereby, the Company also owned the investment in Viwaco JSC.
- (iv) On 1 February 2016, Vincom 2 Construction Management LLC was merged into Vincom 3 Construction LLC. On 12 September 2016, the Company contributed an additional capital of VND14.7 billion to Vincom 3 Construction Management LLC.
- (v) On 4 November 2016, the Company disposed 0.02% shares of Southern Star Urban Development and Trading Investment JSC to a corporate counterparty with total consideration of VND100 million.
- (vi) On 27 September 2016, the Company acquired 3% shares of Hai Linh Energy JSC from an individual with total consideration of VND3.4 billion.
- (vii) On 25 April 2016, the Company disposed its entire shares of Sunflower Investment and Development JSC to individuals with total consideration of VND55 billion.
- (viii) On 15 January 2016, Vinpro Trading and Services LLC, SuperHigh-speed Logistics Services JSC and other subsidiaries of Vingroup JSC were merged in to Vincommerce General Commercial Services JSC ("Vincommerce JSC"). Thereby, the Company also held shares of Vincommerce JSC. On 6 May 2016, the Company disposed its shares in Vincommerce JSC to individuals with total consideration of VND65 billion.

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19. GOODWILL

Currency: VND

	Goodwill arising from acquisition of Dong Phu Hung Binh Thuan JSC	Goodwill arising from acquisition of Ecology JSC	Goodwill arising from acquisition of Lieu Giai JSC	Goodwill arising from acquisition of Gia Lam LLC	Goodwill arising from acquisition of Phu Gia JSC	Total
Cost:						
Beginning balance	430,696,393,821	-	-	-	-	430,696,393,821
Acquisition of subsidiaries (Note 4)	-	369,866,854,773	288,148,907,591	1,235,307,223	40,344,641,425	699,595,711,012
Disposal	(430,696,393,821)	-	-	-	-	(430,696,393,821)
Ending balance	-	369,866,854,773	288,148,907,591	1,235,307,223	40,344,641,425	699,595,711,012
Accumulated amortisation:						
Beginning balance	471,996,048	-	-	-	-	471,996,048
Amortisation for the year	34,844,189,015	1,469,771,349	1,184,173,593	5,076,605	165,799,897	37,669,010,459
Disposal	(35,316,185,063)	-	-	-	-	(35,316,185,063)
Ending balance	-	1,469,771,349	1,184,173,593	5,076,605	165,799,897	2,824,821,444
Net carrying amount:						
Beginning balance	430,224,397,773	-	-	-	-	430,224,397,773
Ending balance	-	368,397,083,424	286,964,733,998	1,230,230,618	40,178,841,528	696,770,889,568

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20. SHORT-TERM TRADE PAYABLES AND ADVANCES FROM CUSTOMERS

20.1 Short-term trade payables

Currency: VND

	Ending balance		Beginning balance	
	Amount	Payable amount	Amount	Payable amount
Short-term trade payables	1,325,938,486,355	1,325,938,486,355	728,136,895,261	728,136,895,261
- A supplier of real estate management services	516,198,464,501	516,198,464,501	4,005,825,304	4,005,825,304
- A construction contractor	136,602,642,874	136,602,642,874	-	-
- Thai Hoa Investment and Trading JSC	-	-	202,115,146,454	202,115,146,454
- A supplier of equipment for Vinhomes Times City project	-	-	151,183,233,858	151,183,233,858
- Hoa Binh Real Estate Construction and Trading JSC	-	-	3,342,728,799	3,342,728,799
- Others	673,137,378,980	673,137,378,980	367,489,960,846	367,489,960,846
Short-term trade payables to related parties (Note 35)	340,336,215,012	340,336,215,012	99,576,585,744	99,576,585,744
TOTAL	1,666,274,701,367	1,666,274,701,367	827,713,481,005	827,713,481,005

20.2 Advance from customers

Currency: VND

	Ending balance	Beginning balance
Down payments from customers under apartment sale and purchase agreements (i)	10,631,077,251,986	7,937,555,949,071
Advances from customers of Vinmec Hospitals	-	22,610,920,502
Others	31,958,832,159	18,412,050
TOTAL	10,663,036,084,145	7,960,185,281,623
<i>In which:</i>		
Advances from other customers	10,635,903,109,474	7,960,185,281,623
Advances from related parties (Note 35)	27,132,974,671	-

- (i) This represents down payments to purchase apartments at Vinhomes Times City project and Vinhomes Metropolis project from customers who signed sale and purchase agreements with the Company and its subsidiaries.

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21. STATUTORY OBLIGATIONS

Currency: VND

	<i>Beginning balance</i>	<i>Payable for the year</i>	<i>Payment made in the year</i>	<i>Ending balance</i>
Payables				
Value added tax	15,569,747,071	658,722,315,903	(384,647,485,806)	289,644,577,168
Corporate income tax	72,999,582,600	650,371,877,353	(344,271,766,727)	379,099,693,226
Personal income tax	3,653,098,503	15,593,591,975	(16,045,827,600)	3,200,862,878
Other taxes	-	70,604,931,694	(70,367,273,084)	237,658,610
TOTAL	92,222,428,174	1,395,292,716,925	(815,332,353,217)	672,182,791,882
	<i>Beginning balance</i>	<i>Receivable for the year</i>	<i>Reimbursement in the year</i>	<i>Ending balance</i>
Receivables				
Value added tax	25,310,731,089	364,167,421,737	(290,535,820,203)	98,942,332,623
TOTAL	25,310,731,089	364,167,421,737	(290,535,820,203)	98,942,332,623

22. SHORT-TERM ACCRUED EXPENSES

Currency: VND

	<i>Ending balance</i>	<i>Beginning balance</i>
Short-term		
Accrued interest expenses	540,714,901,489	48,490,004,511
Accrued construction costs	320,292,346,338	724,327,968,216
Accrued cost for handed over apartments	246,808,820,819	138,497,661,381
Accrued commission fees related to apartments not yet handed over	66,857,868,592	120,696,730,322
Accrued labor expenses	11,973,371,549	25,114,770,690
Other accrued expenses	16,370,567,329	28,757,561,028
TOTAL	1,203,017,876,116	1,085,884,696,148
<i>In which:</i>		
Other accrued expenses	801,374,754,869	994,528,109,517
Accrued expenses to related parties (Note 35)	401,643,121,247	91,356,586,631

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23. UNEARNED REVENUE

	Currency: VND	
	Ending balance	Beginning balance
Short-term		
Unearned revenue from leasing of shopping malls and office (ii)	35,765,531,305	-
Unearned revenue from entertainment services	4,350,329,981	-
Unearned revenue from capital contribution into Vincom Retail JSC (i)	416,216,320	338,488,244
Unearned revenue from VIP Vinmec Family Card	-	8,562,406,594
Unearned revenue from Vinmec Health Card	-	13,746,000,000
	<u>40,532,077,606</u>	<u>22,646,894,838</u>
Long-term		
Unearned revenue from leasing of shopping malls (i)	1,084,011,858,038	-
Unearned revenue from capital contribution into Vincom Retail JSC (ii)	17,710,706,100	14,636,379,631
Unearned revenue from Vinmec Health Card	-	13,746,000,000
	<u>1,101,722,564,138</u>	<u>28,382,379,631</u>
TOTAL	<u>1,142,254,641,744</u>	<u>51,029,274,469</u>

- (i) This represents advances for office rentals from customers at Tower 1 and Tower 2 buildings in Vinhomes Times City project and from Southern Vincom Retail LLC for lease of shopping malls of Ecology JSC.
- (ii) This is unearned revenue of investing activity arising from the capital contribution into Vincom Retail JSC, an associate, which is corresponding to the equity interest of the Company and its subsidiaries in Vincom Retail JSC. This amount will be allocated to other income along the duration of Vinhomes Times City project.

24. OTHER PAYABLES

	Currency: VND	
	Ending balance	Beginning balance
Short-term		
Down payments from customers buying apartments	3,024,710,050,382	2,906,771,794,763
Maintenance fund of apartments handed over (i)	296,078,519,457	219,087,788,847
Others	83,397,504,364	25,181,238,826
	<u>3,404,186,074,203</u>	<u>3,151,040,822,436</u>
Long-term		
Deposits received	5,279,232,731	4,091,492,912
	<u>5,279,232,731</u>	<u>4,091,492,912</u>
TOTAL	<u>3,409,465,306,934</u>	<u>3,155,132,315,348</u>
<i>In which:</i>		
Other payables	3,387,099,896,923	3,153,497,618,166
Other payables to related parties (Note 35)	22,365,410,011	1,634,697,182

- (i) This is maintenance fund for apartments handed over in Vinhomes Times City project which will be transferred to the Building Management Board upon its establishment. As at 31 December 2016, the maintenance fund of apartments, which was finalised with the Company, will be deposited in a saving account at banks.

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25. LOANS

	Opening balance		Movement during the year		Ending balance		Currency: VND
	Balance	Payable amount	Increase	Decrease	Balance	Payable amount	
Short-term							
Loans from banks (i)	147,363,803,719	147,363,803,719	385,582,046,666	(305,996,754,803)	226,949,095,582	226,949,095,582	
<i>In which: Current portion of long-term loans</i>	147,363,803,719	147,363,803,719	-	(147,363,803,719)	-	-	
Loans from related parties (Note 35)	3,740,000,000,000	3,740,000,000,000	12,241,424,397,008	(7,051,746,344,978)	8,929,678,052,030	8,929,678,052,030	
	3,887,363,803,719	3,887,363,803,719	12,627,006,443,674	(7,357,743,099,781)	9,156,627,147,612	9,156,627,147,612	
Long-term							
Loans from banks	535,448,500,948	535,448,500,948	93,174,031,590	(481,258,728,818)	147,363,803,720	147,363,803,720	
<i>In which: Current portion of long-term loans</i>	(147,363,803,719)	(147,363,803,719)	-	-	(147,363,803,720)	(147,363,803,720)	
Bond issued (ii)	696,711,458,332	696,711,458,333	3,288,541,667	(700,000,000,000)	-	-	
	1,084,796,155,561	1,084,796,155,562	96,462,573,257	(1,181,258,728,818)	-	-	
TOTAL	4,972,159,959,280	4,972,159,959,281	12,723,469,016,931	(8,539,001,828,599)	9,156,627,147,612	9,156,627,147,612	

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

25. LOANS (continued)

- (i) These loans are guaranteed by the Company to settle irrevocable letter of credit for purchases of machinery and equipment of Vinpearlland Amusement Parks projects of Vinpearlland JSC, and bear interest rates ranging from 3.25% per annum to 4.40% per annum.
- (ii) The bond had a book value of VND700 billion as at 31 December 2015, with floating interest rate, equal to the highest paid-in-arrears saving account in VND rates of Vietinbank (+) other cost of capital (+) 6% per annum. During the year, the Company redeemed all these bonds.

26. LONG-TERM PROVISIONS

This represents provision for repairment costs for apartments at Vinhomes Times City project in accordance with warranties provision in sale and purchase agreements.

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27. OWNERS' EQUITY

27.1 Increase and decrease in owners' equity

	Issued share capital	Other funds belonging to owners' equity (iii)	Undistributed earnings	Non-controlling interests	Total
Previous year					
Beginning balance	2,000,000,000,000	-	648,468,088,833	11,638,325,645	2,660,106,414,478
- Capital contribution from non-controlling shareholders	-	-	-	3,632,899,760,000	3,632,899,760,000
- Investment in new subsidiaries	-	(48,932,974,255)	-	104,415,896,144	55,482,921,889
- Net profit for the year	-	-	795,075,484,745	(3,187,123,950)	791,888,360,795
- Partial disposal of existing subsidiaries without loss of control	-	-	2,947,433,903	(2,947,433,903)	-
- Share common control reserve from associates	-	7,716,696,043	-	-	7,716,696,043
- Dividend declared to non-controlling shareholders	-	-	-	(19,544,228,093)	(19,544,228,093)
Ending balance	<u>2,000,000,000,000</u>	<u>(41,216,278,212)</u>	<u>1,446,491,007,481</u>	<u>3,723,275,195,843</u>	<u>7,128,549,925,112</u>
Current year					
Beginning balance	2,000,000,000,000	(41,216,278,212)	1,446,491,007,481	3,723,275,195,843	7,128,549,925,112
- Capital contribution from non-controlling shareholders (i)	-	-	-	3,525,373,035,000	3,525,373,035,000
- Investment in new subsidiaries (ii)	-	(2,759,030,246,311)	-	4,097,282,361,342	1,338,252,115,031
- Net profit for the year	-	-	1,648,549,290,410	558,749,834,711	2,207,299,125,121
- Changes of equity interest in subsidiaries without loss of control	-	55,180,582,547	(124,234,737,571)	(330,219,757,216)	(399,273,912,240)
- Share common control reserve from associate	-	(23,556,737,330)	-	-	(23,556,737,330)
- Disposal of subsidiaries	-	-	-	(3,567,851,036,077)	(3,567,851,036,077)
- Dividend declared to non-controlling shareholders	-	-	-	(659,850,367,507)	(659,850,367,507)
Ending balance	<u>2,000,000,000,000</u>	<u>(2,768,622,679,306)</u>	<u>2,970,805,560,320</u>	<u>7,346,759,266,096</u>	<u>9,548,942,147,110</u>

Currency: VND

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as at 31 December 2016 and for the year then ended

27. OWNERS' EQUITY (continued)

27.1 Increase and decrease in owners' equity (continued)

(i) Capital contribution from non-controlling shareholders:

This is capital contribution from Continental Pacific Investment LLC ("Continental Pacific LLC") in Vinpearlland JSC, a subsidiary, in accordance with the agreements signed between Vinpearlland JSC and other companies with Continental Pacific LLC dated 8 December 2016. Vinpearlland JSC issued preference shares and ordinary shares to Continental Pacific LLC. Preference shares of Vinpearlland JSC held by Continental Pacific LLC are dividend preference shares, which are entitled to other privileges. Pursuant to the Mortgage Agreement between Royal City JSC, another subsidiary of Vingroup, and Continental Pacific LLC on 10 December 2016 in relation to the issuance of preference shares of Vinpearlland JSC, the entire shares of Vincom Retail JSC held by Royal City JSC are used as collaterals to guarantee Vinpearlland JSC's obligations under the transaction documents and for the Founders and a corporate counterparty's obligations in relation to put options granted to Continental Pacific LLC. This capital contribution was transferred from the investment of Continental Pacific LLC in Vinmec JSC according to an agreement dated 7 December 2016.

(ii) Investment in new subsidiaries:

On 15 December 2016, the Company acquired 80.94% shares of Ecology JSC from individuals. Thereby, non-controlling interests increased by VND4,097 billion.

On 26 September 2016, the Company acquired 100% equity interest in Vinpearlland LLC from Vingroup JSC. Thereby, common control reserves decreased VND2,759 billion.

(iii) This represents common control reserves arising from business combinations between under-common-control entities. Movements of the reserves are presented below:

	<i>Currency: VND</i>
	<i>Amount</i>
Beginning balance	(41,216,278,212)
Common control reserve from business combination with Vinpearlland JSC	(2,759,030,246,311)
Common control reserve from the transaction which Tan Lien Phat JSC acquired Vinmart Supermarket JSC, sharing via Vincom Retail JSC	(23,556,737,330)
Common control reserve from partial disposal of equity interest in Vinpearlland JSC to Vingroup JSC and Sai Dong Urban Development and Investment JSC ("Sai Dong JSC"), a subsidiary of Vingroup JSC	55,180,582,547
Ending balance	<u>(2,768,622,679,306)</u>

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27. OWNERS' EQUITY (continued)**27.2 Capital transactions with owners**

	Currency: VND	
	Current year	Previous year
Issued share capital		
Beginning balance	2,000,000,000,000	2,000,000,000,000
Increase during the year	-	-
Decrease during the year	-	-
Ending balance	2,000,000,000,000	2,000,000,000,000

27.3 Ordinary shares and preference shares

	Ending balance	Beginning balance
Authorised shares	200.000.000	200.000.000
Issued shares	200.000.000	200.000.000
Ordinary shares	200.000.000	200.000.000
Preference shares	-	-
Shares in circulation	200.000.000	200.000.000
Ordinary shares	200.000.000	200.000.000
Preference shares	-	-

Par value of the outstanding ordinary share is: VND10,000 per share (31 December 2015: VND10,000 per share).

28. REVENUES**28.1 Revenue from sale of goods and rendering of services**

	Currency: VND	
	Current year	Previous year
Gross revenue	11,217,376,095,522	4,920,362,967,860
<i>In which:</i>		
Revenue from sale of inventory properties (i)	9,339,339,587,138	3,928,936,635,325
Revenue from leasing investment properties and rendering related services (ii)	132,859,502,428	160,703,623,184
Revenue from rendering hospital and related services	987,473,153,808	785,541,794,493
Revenue from retail outlets	538,750,231,729	28,794,234,491
Revenue from amusement park services	190,545,532,140	-
Others	28,408,088,279	16,386,680,367
Deductions	-	-
Net revenue	11,217,376,095,522	4,920,362,967,860
<i>In which:</i>		
Sales to others	11,121,295,683,197	4,852,702,051,875
Sales to related parties	96,080,412,325	67,660,915,985

(i) Revenue from sale of inventory properties derives from the transfer of apartments in Vinhomes Times City project.

(ii) Revenue mainly from leasing outlets, offices and rendering of related services in Vinhomes Times City project.

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28. REVENUES (continued)**28.2 Finance income**

	Currency: VND	
	Current year	Previous year
Gains from investment activities	410,698,503,868	-
Dividend income	144,000,000,000	-
Other finance income	216,385,093,238	848,216,745
Interest income	49,048,942,251	88,013,254,673
Foreign exchange gains	1,901,972,373	603,256,826
TOTAL	822,034,511,730	89,464,728,244

28.3 Revenue and expenses relateing to investment properties

	Currency: VND	
	Current year	Previous year (Restated)
Rental income from leasing investment properties	132,859,502,428	160,703,623,184
Direct operating expenses of investment properties that generated rental income during the year	(135,463,397,211)	(154,701,933,520)
Income from trading investment properties	-	-

29. COST OF GOODS SOLD AND SERVICES RENDERED

	Currency: VND	
	Current year	Previous year
Cost of inventory properties sold	5,238,626,253,734	2,533,696,525,579
Cost of leasing investment properties and related services	135,463,397,211	154,701,933,520
Cost of rendering hospital and related services	808,499,666,278	564,135,119,531
Cost of goods sold at retail outlets	376,711,492,169	19,976,412,445
Cost of amusement park services	191,243,640,856	-
Others	13,014,735,704	13,504,589,951
TOTAL	6,763,559,185,952	3,286,014,581,026

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30. SELLING EXPENSES AND GENERAL AND ADMINISTRATIVE EXPENSES

	Currency: VND	
	Current year	Previous year
Selling expenses		
Consultant fees for apartments handed over	423,204,126,778	165,955,900,998
Commission fees for apartments handed over	267,412,079,609	105,402,856,945
Rental expenses of retail outlets	194,818,980,130	2,367,490,127
Vinhomes royalty fees	99,112,805,363	44,142,000,000
Advertising, marketing expenses	74,992,282,788	46,276,397,236
Others	238,795,016,623	52,746,368,492
	<u>1,298,335,291,291</u>	<u>416,891,013,798</u>
General and administrative expenses		
Labour costs	277,541,877,662	82,491,258,237
External services expenses	306,145,406,078	227,275,178,243
Donation	174,580,925,789	58,220,000,000
Depreciation and amortization	96,308,970,161	78,369,073,287
Others	29,297,556,029	53,169,566,510
	<u>883,874,735,719</u>	<u>499,525,076,277</u>
TOTAL	<u>2,182,210,027,010</u>	<u>916,416,090,075</u>

31. FINANCE EXPENSES

	Currency: VND	
	Current year	Previous year
Loss from investment activities	559,506,689,732	-
Loan interest	384,720,077,362	265,013,754,574
Foreign exchange losses	1,661,845,568	265,464,343
Reversal of provision	-	(3,000,000,000)
Others	774,569,023	2,084,415,097
TOTAL	<u>946,663,181,685</u>	<u>264,363,634,014</u>

32. OTHER INCOME AND EXPENSES

	Currency: VND	
	Current year	Previous year
Other income		
Penalty from breach of contracts	11,333,993,505	67,829,137,084
Gain from capital contribution	14,403,318,072	42,334,804,369
Receipt from sponsors	147,999,348,415	161,298,108,037
Others	7,812,623,414	3,119,230,211
	<u>181,549,283,406</u>	<u>274,581,279,701</u>
Other expenses		
Penalty on late payment of land use fee	18,657,272,291	-
Disposal of fixed assets	17,754,174,885	-
Others	2,042,911,178	489,295,974
	<u>38,454,358,354</u>	<u>489,295,974</u>
NET OTHER PROFIT	<u>143,094,925,052</u>	<u>274,091,983,727</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

33. PRODUCTION AND OPERATING COSTS

Currency: VND

	<i>Current year</i>	<i>Previous year</i>
Cost of developing inventory properties	7,307,158,644,106	1,826,234,181,636
Labour costs	738,653,335,747	337,258,723,137
Depreciation and amortisation	355,233,525,481	178,916,834,516
External service expenses	1,706,974,135,627	681,980,731,679
Raw materials	619,285,512,762	233,695,108,312
Other expenses	286,996,449,611	237,706,663,612
TOTAL	11,014,301,603,334	3,495,792,242,892

34. CORPORATE INCOME TAX

The current corporate income tax ("CIT") rate applicable to the Company and its subsidiaries is 20%, except that Vinmec JSC applies the incentive tax rate of 10%.

The tax returns filed by the Company and its subsidiaries are subject to examination by the tax authorities. As the application of tax laws and regulations is susceptible to varying interpretations, the amounts reported in the consolidated financial statements could be changed at a later date upon final determination by the tax authorities.

34.1 CIT expenses

Currency: VND

	<i>Current year</i>	<i>Previous year</i>
Current tax expenses	585,985,392,868	192,111,071,670
Deferred tax expenses/(income)	1,621,267,702	(5,528,470,449)
TOTAL	587,606,660,570	186,582,601,221

Reconciliation between CIT expenses and the accounting profit multiplied by applicable CIT rate is presented below:

Currency: VND

	<i>Current year</i>	<i>Previous year</i>
Accounting profit before tax	2,794,905,785,692	978,470,962,016
At CIT rate applied to the Company	558,981,157,138	215,263,611,644
Losses of subsidiaries	101,254,030,318	5,389,338,308
Shared profit from associates	(100,966,529,607)	(35,496,029,206)
Losses ineligible for offsetting against taxable income	63,575,372,565	-
Dividend income	(28,800,000,000)	-
Expenses without eligible supporting documents	20,102,958,792	992,739,503
Goodwill amortization	7,533,802,092	103,839,131
Tax losses carried forward	-	(7,650,856,076)
Impact from change in CIT rate	502,588,223	-
Impacts from acquisition and disposal transactions in the consolidated financial statements	(34,582,774,061)	3,294,470,931
Loan interest corresponding to the uncontributed chartered capital	6,055,110	1,702,408,919
Others	-	2,983,078,067
Estimated CIT expenses	587,606,660,570	186,582,601,221

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

34. CORPORATE INCOME TAX (continued)

34.2 Current CIT

The current CIT payable is based on taxable profit for the current year. The taxable profit of the Company and its subsidiaries for the year differs from the profit as reported in the consolidated income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are not taxable or deductible. The Company and its subsidiaries' liability for current tax is calculated using tax rates that have been enacted by the consolidated balance sheet date.

A reconciliation between the profit before tax and the taxable profit is presented below:

	Currency: VND	
	Current year	Previous year
Accounting profit before tax	2,794,905,785,692	978,470,962,016
Adjustments to increase/(decrease) accounting profit		
Shared profit from associates	(504,832,648,035)	(161,345,587,300)
Losses of subsidiaries	506,270,151,588	19,466,600,341
Impacts from acquisition and disposal transactions in the consolidated financial statements	(172,913,870,299)	14,974,867,875
Dividend income	(144,000,000,000)	-
Donations	80,200,000,000	100,000,000
Other expenses without eligible supporting documents	21,602,276,068	10,358,278,597
Goodwill amortisation	37,669,010,458	471,996,048
Deductible selling expenses for current year	(25,129,411,133)	-
Accrued early repayment fees	17,205,013,737	-
Taxable unearned revenue	2,331,000,000	-
Loan interest corresponding to the uncontributed chartered capital	30,275,547	7,738,222,358
Unrealised foreign exchange gain	(12,369,062)	-
Other adjustments	(3,050,762,044)	25,129,411,133
Adjusted profit before tax and loss carried forward	2,610,274,452,517	895,364,751,068
Tax loss carried forward	-	(35,692,052,873)
Adjusted profit before tax	2,610,274,452,517	859,672,698,195
(Loss)/profit from other activities	(319,652,511,824)	121,787,429,409
Profit from real estate trading activities	2,929,926,964,341	737,885,268,786
Estimated current taxable profit	2,929,926,964,341	859,672,698,195
Estimated current CIT	585,985,392,868	189,127,993,603
CIT payable at the beginning of the year	72,999,582,600	63,635,393,421
CIT obligation arising from acquisition of new subsidiaries	63,280,297,841	15,338,292,177
Provisional CIT for down payments from customers	69,827,879,383	89,386,729,361
Provisional CIT for down payments from customers in prior year utilised during the year	(68,000,362,269)	(22,315,885,989)
CIT paid during the year	(344,271,766,727)	(265,156,018,040)
Other adjustments	(721,330,470)	2,983,078,067
CIT payable at the end of the year	379,099,693,226	72,999,582,600

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

34. CORPORATE INCOME TAX (continued)

34.3 Deferred tax

The following are the deferred tax assets and deferred tax liabilities recognised by the Company and its subsidiaries, and the movement thereon, during the current and previous years:

Currency: VND

	<u>Consolidated balance sheet</u>		<u>Consolidated income statement</u>	
	<i>Ending balance</i>	<i>Beginning balance</i>	<i>Current year</i>	<i>Previous year</i>
Deferred tax assets				
Accruals for early settlement penalties subject to interest supporting program and deferred revenue of parking services	3,907,202,747	-	3,907,202,747	-
Selling expenses for Vinhomes Times City project	4,347,971,278	5,528,470,449	(5,528,470,449)	5,528,470,449
Net deferred tax assets	8,255,174,025	5,528,470,449		
Net deferred tax (charge)/credit to consolidated income statement			(1,621,267,702)	5,528,470,449

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES

35.1 Significant transactions of the Company and its subsidiaries with related parties

Significant transactions of the Company and its subsidiaries with related parties during the year and in prior year are as follows:

				Currency: VND
Related parties	Relationship	Transactions	Current year	Previous year
Royal City Real Estate Development and Investment JSC ("Royal City JSC")	Affiliate	Repayment of borrowings	-	1,674,500,000,000
		Interest payables	-	(61,378,357,830)
		Interest paid	-	336,920,518,915
		Lending receivables	-	300,000,000,000
		Lending received	-	(300,000,000,000)
Vingroup JSC	Parent company	Borrowings arisen from offsetting liabilities among three parties	-	(271,621,040,755)
		Borrowings	(7,115,454,052,469)	(7,428,000,000,000)
		Repayment of borrowings	7,143,010,876,570	6,192,706,739,000
		Interest payables transferred to borrowings	-	(32,291,715,472)
		Payment for Vinhomes brand royalty fee	653,097,334	50,266,569,177
		Money transferred into Master account	4,016,551,091,373	1,109,217,245,623
		Receipts from Master account	(4,411,856,390,150)	(833,656,164,690)
		General management fee payables	(103,570,310,538)	(129,020,771,129)
		General management fee paid	61,088,590,304	50,742,814,764
		Share transferring payables	(4,415,561,419,672)	(490,300,000,000)
		Share transferring paid	4,415,561,419,672	585,999,000,000
		Interest payables	(221,346,947,349)	(161,358,798,705)
		Interest paid	77,919,164,071	164,535,163,403
		Lending receivables	2,650,000,000,000	3,340,800,000,000
		Lending received	(2,185,800,000,000)	(1,155,000,000,000)
		Interest receivables	33,345,394,445	23,920,319,237
		Interest received	(36,752,372,223)	(10,876,902,569)
		Share transferring receivables	44,255,614,197	-
		Share transferring received	(44,255,614,197)	-
Sai Dong Urban Development and Investment JSC	Affiliate	Borrowings	(405,844,385,803)	-
		Receipts on behalf payables	(56,841,420,000)	-
		Receipts on behalf paid	56,841,420,000	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.1 Significant transactions of the Company and its subsidiaries with related parties (continued)

Significant transactions of the Company and its subsidiaries with related parties during the year and in prior year are as follows: (continued)

Currency: VND				
Related parties	Relationship	Transactions	Current year	Previous year
Vincom Retail JSC	Associate	Capital contributed (Note 18.1)	117,851,000,000	300,000,000
		Receipts on behalf paid	40,000,000,000	-
		Repayment of borrowings	-	210,000,000,000
Vinschool One Member LLC ("Vinschool LLC")	Affiliate	Payables for service package sold together with apartments	(16,510,620,000)	(52,021,010,000)
		Payments for service package sold together with apartments	16,510,620,000	30,188,329,641
		Revenue from business cooperating contract	28,062,814,968	11,470,190,816
Vincommerce General Commerce Services JSC	Affiliate	Payables for purchased goods	(821,806,993,103)	(516,475,951,492)
		Payments for purchased goods	702,904,454,135	609,109,452,292
		Receivable from office rental revenue	24,830,480,856	-
		Receipt from office rental revenue	(24,830,480,856)	-
Tan Lien Phat Construction Investment Corporation JSC ("Tan Lien Phat JSC")	Affiliate	Lending receivables	-	450,000,000,000
		Lending received	-	(450,000,000,000)
		Borrowings	(900,000,000,000)	(650,000,000,000)
		Repayment of borrowings	-	378,378,959,245
		Borrowings arisen from offsetting liabilities among three parties	-	271,621,040,755
		Interest payables	(14,913,888,888)	(3,570,421,662)
		Receipts from sponsorship	192,358,933,030	111,687,703,684
		Rental payables	(32,482,568,846)	-
		Rental paid	27,842,201,868	-
		Receipts in advance to provide services	23,613,602,195	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.1 Significant transactions of the Company and its subsidiaries with related parties (continued)

Significant transactions of the Company and its subsidiaries with related parties during the year and in prior year are as follows: (continued)

				Currency: VND	
Related parties	Relationship	Transactions	Current year	Previous year	
Vincom Construction Management 2 LLC	Affiliate	Capital contributed	-	9,300,000,000	
		Construction cost payables	(70,533,562,813)	(353,103,312,973)	
		Construction cost paid	-	266,771,438,509	
Vincom Construction Management 3 LLC	Affiliate	Construction cost payables	(303,614,684,478)	(25,266,043,672)	
		Construction cost paid	217,131,962,410	25,245,679,756	
Vinhomes 1 Real Estate Trading LLC ("Vinhomes 1 LLC")	Affiliate (until 4 February 2016)	Commission and marketing fee payables	(37,266,446,661)	(195,450,357,967)	
		Commission and marketing fee paid	9,866,831,344	195,162,632,284	
Vinpearl JSC	Affiliate	Capital contributed	-	46,407,960,200	
		Dividend receivables	144,000,000,000	-	
		Dividend receipts	(144,000,000,000)	-	
Vinpearl Phu Quoc One Member LLC	Affiliate	Capital received	-	(277,677,400,000)	
		Receivables from disposal of assets	80,297,577,645	-	
		Receipts from disposal of assets	(80,297,577,645)	-	
Phu Quoc Tourism Development & Investment JSC ("Phu Quoc Tourism JSC")	Affiliate	Share transferring payables	(409,838,070,000)	-	
		Share transferring paid	409,838,070,000	-	
		Borrowings	(2,150,000,000,000)	-	
		Repayment of borrowings	40,000,000,000	-	
		Interest payables	(49,151,666,666)	-	
		Payables for business cooperating expense	(25,034,178,487)	-	
		Payments for business cooperating expense	37,397,809,768	-	
Vincom Security Services LLC	Affiliate	Share transferring payables	(409,838,070,000)	-	
		Share transferring paid	409,838,070,000	-	

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.1 Significant transactions of the Company and its subsidiaries with related parties (continued)

Significant transactions of the Company and its subsidiaries with related parties during the year and in prior year are as follows: (continued)

			Currency: VND	
Related parties	Relationship	Transactions	Current year	Previous year
Dong Phu Hung – Binh Thuan JSC	Affiliate	Lending receivables	482,100,000,000	4,975,000,000,000
		Lending received	(4,759,035,578,459)	(204,000,000,000)
		Settle borrowings arisen from offsetting liabilities among three parties	(154,335,653,940)	-
		Interest receivables	222,152,168,210	21,692,805,555
		Interest received	(243,844,973,765)	-
		Share transferring received	-	788,500,000,000
		Receipts on behalf payables	(303,873,570,000)	-
		Receipts on behalf paid	303,873,570,000	-
		Transfer borrowings to Hung Phu JSC	(339,728,767,601)	-
Vincor Construction Management 7 LLC	Affiliate	Construction cost payables	(11,467,823,371)	(5,766,292,377)
		Construction cost paid	13,870,135,945	717,046,067
Northern Vincor Retail LLC	Affiliate	Leasing retail outlet fee payables	(116,003,758,629)	(4,803,076,112)
		Leasing retail outlet fee paid	174,057,450,182	7,210,948,944
		Receivables from office rental revenue	14,758,892,527	-
		Receipts from office rental revenue	14,613,638,124	-
		Payables from transferring community house and land use rights	(29,747,276,212)	-
		Payments from transferring community house and land use rights	29,747,276,212	-
		Receivables from dispose assets	49,483,544,510	-
		Receipts from dispose assets	(46,495,339,339)	-

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.2 Amounts due to and due from related parties

Amounts due to and due from related parties at the balance sheet date were as follows:

Currency: VND

<i>Related parties</i> Trade receivables (Note 6.1)	<i>Relationship</i>	<i>Transactions</i>	<i>Ending balance</i>	<i>Beginning balance</i>
Vinschool LLC	Affiliate	Receivables from business cooperating contract	2,802,145,562	3,334,260,988
Vincom Retail JSC	Associate	Receivables from hospital services	-	7,695,600,000
Northern Vincom Retail LLC	Affiliate	Rental receivables	1,184,932,030	1,504,927,210
Vinpearl Nha Trang LLC	Affiliate	Receivables from rendering of services	3,160,576,180	-
BFF Commercial Trading Investment LLC	Affiliate	Management fee receivables	3,799,353,311	-
Vincommerce General Commerce Services JSC	Affiliate	Receivables from rendering of services	6,648,417,327	-
Other affiliates		Other trade receivables	-	2,965,523,005
			17,595,424,410	15,500,311,203

Advances to suppliers (Note 6.2)

Vincommerce General Commerce Services JSC	Affiliate	Advances for construction materials	-	92,633,500,800
North Vincom Retail LLC	Affiliate	Advances for management fee, rental fee	6,308,890,460	-
Vincom 7 Construction Management LLC	Affiliate	Advance for construction fee	2,429,982,736	27,670,162
			8,738,873,196	92,661,170,962

Other receivables (Note 8)

Vingroup JSC	Parent company	Receivables from centralized cash flow management accounts	15,332,869,730	453,984,586,790
		Interest receivables	2,256,032,557	13,043,416,667
		Receivables from paid on behalf	-	24,248,516
Hai Linh Energy JSC	Affiliate	Interest receivables	58,810,334	-
Other affiliates			1,648,089,786	310,725,170
			19,295,802,407	467,362,977,143

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.1 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties at the balance sheet date were as follows:
(continued)

Currency: VND

Related parties	Relationship	Transactions	Ending balance	Beginning balance
Trade payables (Note 20.1)				
Vingroup JSC	Parent company	Payables for general management fees	148,731,322,446	-
Vincom Retail JSC	Associate	Payables for rental and other related service	56,167,621,037	-
Vincom Construction Management 3 LLC(*)	Affiliate	Construction cost payables	34,532,387,088	20,363,916
Vincommerce General Commerce Services JSC	Affiliate	Payables for purchased goods	29,765,055,435	-
Vinhomes 1 Real Estate Trading LLC	Affiliate	Commission and marketing fee payables	27,500,000,000	164,818,558
South Vincom Retail LLC	Affiliate	Payables for shopping mall rental fee	13,355,329,431	-
North Vincom Retail LLC	Affiliate	Payables for shopping mall rental fee	3,492,186,275	3,172,446,381
Vincom Construction Management 2 LLC	Affiliate	Construction cost payables	-	86,331,874,464
Vincom Construction Management 1 LLC	Affiliate	Construction cost payables	-	1,062,129,461
Vinhomes Real Estate Management LLC	Affiliate (until 4 February 2016)	Payables for management services of public areas	-	4,548,561,432
Other affiliates			26,792,313,300	4,276,391,532
			340,336,215,012	99,576,585,744
Advance from customers (Note 20.2)				
Tan Lien Phat JSC	Affiliate	Advances for providing goods	27,132,974,671	-
			27,132,974,671	-

(*) On 1 February 2016, Vincom Construction Management 2 LLC was merged into Vincom Construction Management 3 LLC.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.1 Amounts due to and due from related parties (continued)

Amounts due to and due from related parties at the balance sheet date were as follows:
(continued)

			Currency: VND	
Related parties	Relationship	Transactions	Ending balance	Beginning balance
Accrued expense (Note 22)				
Vingroup JSC	Parent company	Interest payables	283,599,751,314	18,738,616,059
Phu Quoc	Affiliate	Interest payables	49,151,666,666	-
Tourism JSC				
Southern Star	Affiliate	Interest payables	37,197,980,556	-
Urban Development and Trading Investment JSC ("Southern Star JSC")				
Vinpearl Quy Nhon JSC	Affiliate	Interest payables	11,138,750,002	-
Sai Dong JSC	Affiliate	Interest payables	9,190,278,269	-
Tan Lien Phat JSC	Affiliate	Interest payables	8,380,555,555	-
Hon Tre Investment and Development LLC	Affiliate	Interest payables	1,429,749,998	-
Cam Ranh Investment LLC	Affiliate	Interest payables	1,170,555,554	-
Vincom Security Service LLC	Affiliate	Security service payable	144,173,333	164,549,000
Vincom Construction Management 7 LLC	Affiliate	Construction cost payable	-	5,076,916,472
Vinhomes Real Estate Management LLC	Affiliate (until 4 February 2016)	Payables for management services of public areas	-	67,376,505,100
Other affiliates		Other accrued expenses	239,660,000	-
			401,643,121,247	91,356,586,631
Other payables (Note 24)				
Phu Quoc	Affiliate	Other payables	11,477,905,609	-
Tourism JSC				
Vingroup JSC	Parent company	Payables for payments on behalf	83,610,228,125	-
		Other payables	-	1,634,697,182
Other affiliates		Other payables	1,330,799,504	-
			22,365,410,011	1,634,697,182

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended**35. TRANSACTIONS WITH RELATED PARTIES (continued)****35.3 Details of lendings to related parties (Note 7)**

Details of lendings on 31 December 2015:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount</i>	<i>Interest rate</i>	<i>Maturity date</i>	<i>Collaterals</i>	<i>Interest</i>
		VND	% per annum			VND
Vingroup JSC	Parent company	1,870,000,000,000	10.5	10 June 2016	None	11,570,416,667
		315,800,000,000	7	6 July 2016	None	1,473,000,000
		<u>2,185,800,000,000</u>				<u>13,043,416,667</u>

Details of lendings on 31 December 2016:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount</i>	<i>Interest rate</i>	<i>Maturity date</i>	<i>Collaterals</i>	<i>Interest</i>
		VND	% per annum			VND
Vingroup JSC	Parent company	2,260,000,000,000	7	27 June 2017	None	2,197,222,222
		390,000,000,000	7	21 June 2017	None	682,500,000
Hai Linh Energy JSC	Affiliate	4,200,738,202	7	21 October 2017	None	58,810,335
		<u>2,654,200,738,202</u>				<u>2,938,532,557</u>

35.4 Details of borrowings from related parties (Note 25)

Details of borrowings on 31 December 2015:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount</i>	<i>Interest rate</i>	<i>Maturity date</i>	<i>Collaterals</i>	<i>Interest</i>
		VND	% per annum			VND
Vingroup JSC	Parent company	3,740,000,000,000	7	11 June 2016	None	18,719,166,665
		<u>3,740,000,000,000</u>				<u>18,719,166,665</u>

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

35. TRANSACTIONS WITH RELATED PARTIES (continued)

35.4 Details of borrowings from related parties (continued)

Details of borrowings on 31 December 2016:

<i>Related parties</i>	<i>Relationship</i>	<i>Amount VND</i>	<i>Interest rate % per annum</i>	<i>Maturity date</i>	<i>Collaterals</i>
Vingroup JSC	Parent company	2,768,435,175,899	7	31 January 2017	None
		316,008,000,000	7	9 June 2017	None
		308,000,000,000	7	28 April 2017	None
		143,000,000,000	7	8 June 2017	None
		130,000,000,000	7	29 January 2017	None
		91,000,000,000	7	26 March 2017	None
		60,000,000,000	7	9 June 2017	None
		57,000,000,000	7	26 March 2017	None
Southern Star JSC	Affiliate	606,300,000,000	7	22 February 2017	None
Sai Dong JSC	Affiliate	405,844,385,803	7	5 September 2017	None
Phu Quoc Tourism JSC	Affiliate	2,110,000,000,000	7	5 March 2017	None
Tan Lien Phat JSC	Affiliate	900,000,000,000	7	14 March 2017	None
Vinpearl Quy Nhon JSC	Affiliate	335,000,000,000	7	14 July 2017	None
Cam Ranh Investment LLC	Affiliate	28,000,000,000	7	14 July 2017	None
Hon Tre Investment and Development LLC	Affiliate	43,000,000,000	7	14 July 2017	None
Vinpearl Bai Dai LLC	Affiliate	16,000,000,000	7	14 July 2017	None
Viet Nam Books JSC	Affiliate	600,000,000,000	7	13 July 2017	None
Tay Tang Long Real Estate LLC	Affiliate	12,090,490,328	7	30 June 2017	None
		8,929,678,052,030			

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

36. EARNINGS PER SHARE

Basic earnings per share amounts are calculated by dividing net profit or loss after tax for the year attributable to ordinary shareholders of the Company (after adjusting for the bonus and welfare fund) by the weighted average number of ordinary shares outstanding during the year.

Diluted earnings per share amounts are calculated by dividing the net profit or loss after tax attributable to ordinary shareholders of the Company (after adjusting for dividend on the convertible preference shares) by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

The following reflects the income and share data used by the Company and its subsidiaries in the basic and diluted earnings per share computations.

	Currency: VND	
	Current year	Previous year
Net profit after tax attributable to ordinary shareholders	1,648,549,290,410	795,075,484,745
Adjusted for the effect of dilution	-	-
Net profit attributable to ordinary shareholders adjusted for the effect of dilution	1,648,549,290,410	795,075,484,745

	Current year	Previous year
Weighted average number of ordinary shares for basic earnings per share	200,000,000	200,000,000
Effect of dilution	-	-
Weighted average number of ordinary shares (excluding treasury shares) adjusted for the effect of dilution	200,000,000	200,000,000

	Currency: VND	
	Current year	Previous year
Basic earnings per share	8,243	3,975
Diluted earnings per share	8,243	3,975

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these consolidated financial statements.

37. SEGMENT INFORMATION

For the management purpose, the operating businesses are organised and managed separately according to the nature of the products and services provided, and consist of business segments as follows:

- ▶ Real estate trading: including trading apartments at real estate projects of the Company and its subsidiaries, leasing retail areas and offices in shopping malls, and rendering of services related to investment properties of the Company and its subsidiaries;
- ▶ Hospital and related services: including provision of health care and related services at Vinmec International General Hospital;
- ▶ Retail trading services: including provision of goods in retail outlets;
- ▶ Entertainment and related services: including theme parks, culinary village and other tourism services.
- ▶ Others: including provision of education services, water supply and other services.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

37. SEGMENT INFORMATION (continued)

The following tables present revenue, expenses and certain assets information regarding the Company and its subsidiaries business segment as at 31 December 2016 and for the year then ended are as follows:

Currency: VND

	Sales of inventory properties and related services	Entertainment and related services	Hospital and related services	Retails trading services	Others	Adjustments and eliminations	Total
Revenue							
Sales to external parties	9,472,199,089,566	190,545,532,140	987,473,153,808	538,750,231,729	28,408,088,279	-	11,217,376,095,522
Inter-segment sales (1)	4,664,887,104	-	720,960,166	-	-	(5,385,847,270)	-
Total net revenue	9,476,863,976,670	190,545,532,140	988,194,113,974	538,750,231,729	28,408,088,279	(5,385,847,270)	11,217,376,095,522
Results							
Depreciation and amortization	52,388,553,965	47,322,271,086	176,788,913,336	60,380,257,668	18,353,529,426	-	355,233,525,481
Share in profit of associates	454,994,125,992	-	49,333,970,395	-	504,551,648	-	504,832,648,035
Segment profit/(loss) before tax (2)	3,433,542,490,666	(51,071,890,010)	(246,955,867,126)	(356,809,719,651)	-	16,200,771,813	2,794,905,785,692
Assets							
Investment in associates	6,053,063,803,207	-	1,320,019,178,739	-	1,472,994,551,648	-	8,846,077,533,594
Capital expenditure	4,321,248,027,630	682,195,061,732	52,720,352,310	114,800,090,340	-	-	5,170,963,532,012
Total assets (3)	28,388,859,009,301	2,003,016,169,034	-	698,062,392,174	766,165,554,400	5,664,642,657,542	37,520,745,782,451
Total liabilities (4)	17,102,987,661,607	230,839,254,107	-	232,129,056,875	-	10,405,847,662,752	27,971,803,635,341

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended**37. SEGMENT INFORMATION (continued)**

1. Net inter-segment sales are eliminated in consolidation.
2. Segment profit does not include:

Currency: VND

Finance income	822,034,511,730
Finance expenses	(946,663,181,685)
Other income	181,549,283,406
Other expenses	(38,454,358,354)
Reversal of provision for lending principal	(4,604,782,080)
Total	13,861,473,017

Eliminate:

Inter-segment income	2,339,298,796
	16,200,771,813

3. Segment assets do not include the following items because these assets are managed on a group basis:

Currency: VND

Short-term loan receivables	3,122,655,962,694
Long-term loan receivables	3,989,915,115
Other current assets	96,816,638,037
Provision for doubtful short-term receivables	(8,733,688,735)
Prepaid corporate income tax	115,369,577,568
Value-added tax deductible	98,942,332,623
Deferred tax assets	8,255,174,025
Provision for obsolete inventories	(8,386,879,738)
Other short-term receivables	540,119,773,553
Investment in other entities	1,695,613,852,400
Total	5,664,642,657,542

4. Segment liabilities do not include the following items because these liabilities are managed on a group basis:

Currency: VND

Statutory obligations	672,182,791,882
Accrued interest expenses	540,714,901,488
Short-term loans	9,156,627,147,612
Long-term provisions	36,322,821,770
Total	10,405,847,662,752

The Company and its subsidiaries monitor operating results separately for each business segment for the purpose of making resource allocation decision and operating result assessment. The result of each segment will be assessed based on the operating result which is also in line with operating result of the Company and its subsidiaries in consolidated financial statements. Nevertheless, financial activities of the Company and its subsidiaries (including finance income and finance expenses) are managed on centralized basis and are not subject to allocate to business segment.

Transfer prices between business segments are set on an arm's length basis in a manner similar to transactions with third parties. Segment revenue, segment expense and segment result include transfers between business segments. Those transfers are eliminated in the preparation of the consolidated financial statements.

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NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

37. SEGMENT INFORMATION (continued)

The following tables present revenue, expenses and certain assets information regarding the Company and its subsidiaries business segment as at 31 December 2015 and for the year then ended are as follows:

	Sales of inventory properties and related services	Hospital and related services	Retails trading services	Adjustments and eliminations	Total
Currency: VND					
Revenue					
Sales to external parties	4,106,026,938,876	785,541,794,493	28,794,234,491	-	4,920,362,967,860
Inter-segment sales (1)	764,208,215	66,829,200	-	(831,037,415)	-
Total net revenue	4,106,791,147,091	785,608,623,693	28,794,234,491	(831,037,415)	4,920,362,967,860
Results					
Depreciation and amortisation	28,809,542,420	147,281,550,222	2,825,741,874	-	178,916,834,516
Share in profit of associates	161,345,587,300	-	-	-	161,345,587,300
Segment profit/(loss) before tax (2)	988,715,341,556	(88,357,509,233)	(21,079,948,265)	99,193,077,957	978,470,962,015
Assets					
Investment in associates	7,167,618,256,359	-	-	-	7,167,618,256,359
Capital expenditure	260,057,269,555	798,044,105,052	-	-	1,058,101,374,607
Total assets (3)	10,029,443,547,892	2,888,562,444,513	516,492,944,784	12,302,364,027,806	25,306,638,567,241
Total liabilities (4)	12,514,950,370,463	301,467,002,883	245,870,955,505	5,115,800,313,278	18,178,088,642,129

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

37. SEGMENT INFORMATION (continued)

1. Net inter-segment sales are eliminated in consolidation.
2. Segment profit does not include:

	<i>Currency: VND</i>
Finance income	89,464,728,244
Finance expenses	(264,363,634,014)
Other income	274,581,279,701
Other expenses	(489,295,974)
Total	<u>99,193,077,957</u>

3. Segment assets do not include the following items because these assets are managed on a group basis:

	<i>Currency: VND</i>
Deferred tax assets	5,528,470,449
Held-to-maturity investments	418,092,189,939
Short-term loan receivables	2,207,939,790,100
Long-term investments	8,858,115,216,559
Long-term loan receivables	7,559,839,165
Interest receivables	29,189,532,825
Value-added tax deductible	25,310,731,089
Tax and other receivables from the State	250,790,201
Dividend advance to preference share shareholders	320,153,069,707
Other current assets	430,224,397,772
Total	<u>12,302,364,027,806</u>

4. Segment liabilities do not include the following items because these liabilities are managed on a group basis:

	<i>Currency: VND</i>
Long-term loans	1,084,796,155,561
Statutory obligations	92,222,428,174
Short-term loans	3,887,363,803,720
Interest payables	48,490,004,511
Deferred tax liabilities	2,927,921,312
Total	<u>5,115,800,313,278</u>

The Company and its subsidiaries monitor operating results separately for each business segment for the purpose of making resource allocation decision and operating result assessment. The result of each segment will be assessed based on the operating result which is also in line with operating result of the Company and its subsidiaries in consolidated financial statements. Nevertheless, financial activities of the Company and its subsidiaries (including finance income and finance expenses) are managed on centralized basis and are not subject to allocate to business segment.

Transfer prices between business segments are set on an arm's length basis in a manner similar to transactions with third parties. Segment revenue, segment expense and segment result include transfers between business segments. Those transfers are eliminated in the preparation of the consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended

38. COMMITMENTS AND CONTINGENCIES

Commitments relating to investing activities

No	Name of investees	Investee's chartered capital	The Company's capital contribution commitment		Contributed capital	Commitments (uncontributed capital)
			Amount	%	Amount	Amount
		VND	VND		VND	VND
1	Vincom 7 Construction Management LLC	50,000,000,000	3,000,000,000	6.00	-	3,000,000,000
2	Vinacademy Education and Training LLC	50,000,000,000	3,000,000,000	6.00	-	3,000,000,000
3	Vinhomes 2 LLC	100,000,000,000	6,000,000,000	6.00	360,000,000	5,640,000,000
4	Tay Tang Long Real Estate LLC	300,000,000,000	93,000,000,000	31.00	9,000,000,000	84,000,000,000
		500,000,000,000	105,000,000,000		9,360,000,000	95,640,000,000

Commitment under operating leases where the Company and its subsidiaries are lessees

The Company and its subsidiaries, as lessees, have signed land rental contract with Hanoi People's Committee and several other operating lease contracts with the minimum rental fee under these agreements as at 31 December 2016 are as follows:

	Currency: VND	
	Ending balance	Beginning balance
Less than 1 year	15,004,865,282	110,725,988,291
From 1-5 years	60,019,461,128	426,195,049,670
More than 5 years	659,678,573,636	42,415,315,812
TOTAL	734,702,900,046	579,336,353,773

Under the business co-operation contract signed in December 2014 between Ecology JSC and corporate counterparties with regard to construction and employment of Vincom Quang Trung project and Vincom Le Van Viet project, owned by Ecology JSC, corporate counterparties would receive revenue from rental fee as adjusted by agreement. The business contract would come to due date in 30 years after completion and finalisation of these projects and two parties signed lease contract.

Commitment under operating leases where the Company and its subsidiaries are lessor

The Company and its subsidiaries, as lessor, have signed agreements for leasing offices, retail areas and multi-functional spaces with the minimum rental fee under these agreements as at 31 December 2016 are as follows :

	Currency: VND	
	Ending balance	Beginning balance
Less than 1 year	250,414,780,683	52,212,965,886
From 1-5 years	445,455,202,248	66,654,027,692
More than 5 years	523,148,596,392	-
TOTAL	1,219,018,579,323	118,866,993,578

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS (continued)
as at 31 December 2016 and for the year then ended**38. COMMITMENTS AND CONTINGENCIES (continued)****Capital expenditure commitments relating to on-going real estate projects**

The Company has entered into a number of contracts relating to the development of the Vinhomes Times City project at No. 458 Minh Khai Street, Hai Ba Trung District, Hanoi and at No. 25, Alley 13, Linh Nam Street, Hoang Mai district, Hanoi. The outstanding commitment on these contracts were approximately VND2,956 billion on 31 December 2016.

Commitment under interest support agreements to buyers of apartments at Vinhomes Times City project and Vinhomes Metropolis project

According to three-party (3) interest support agreements among the Company and its subsidiaries, the investors, buyers of apartments at Vinhomes Times City project and Vinhomes Metropolis project and certain banks, the investors commit to support the buyers in getting loans to finance for a part of the selling price and to settle the interest in committed period. According to these agreements:

- * The banks will provide loans to the buyers to finance for the purchase apartments at Vinhomes Times City project and Vinhomes Metropolis project;
- * The Company and its subsidiaries will support to pay interest for buyers at the rate announced by banks during a period from 12 to 30 months after the first disbursement date.

39. EVENTS AFTER THE BALANCE SHEET DATE

In February 2017, Ecology JSC, a subsidiary of the Company, received a deposit of VND680 billion from a corporate counterparty under deposit agreement signed on 20 February 2017 in order to transfer all shares in one of its associate to this corporate counterparty.

There is no other matter or circumstance that has arisen since the balance sheet date that requires adjustment or disclosure in the consolidated financial statements of the Company and its subsidiaries.

Tran Thanh Tam
Preparer

Bui Thi Ha
Chief Accountant



Nguyễn Việt Quang
General Director

Ha Noi, Viet Nam

31 March 2017